



TOTAL
COMMITTED TO BETTER ENERGY

TOTAL KENYA LIMITED

Annual Report
& Financial Statements **2014**



VALUE STATEMENTS

Our Vision

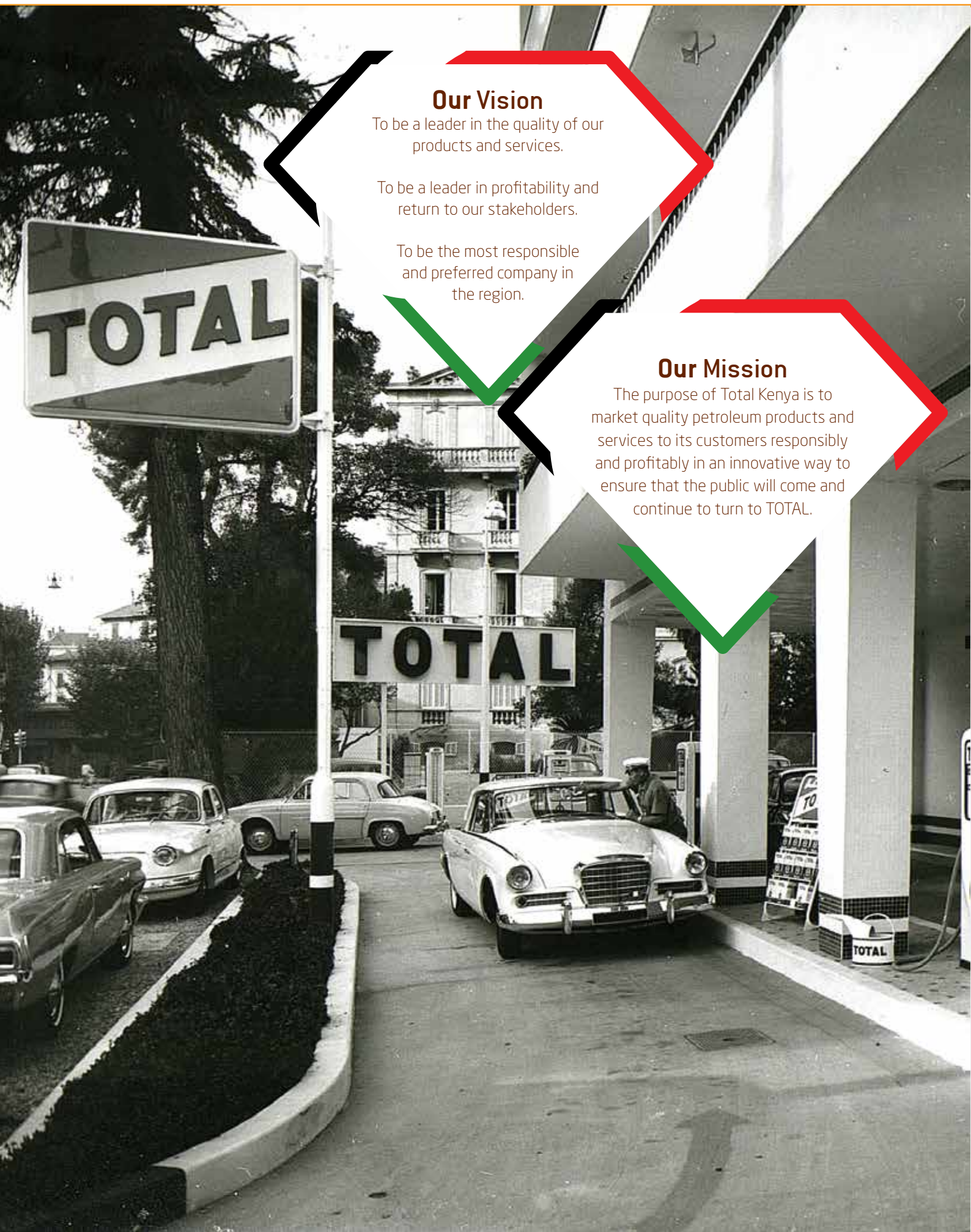
To be a leader in the quality of our products and services.

To be a leader in profitability and return to our stakeholders.

To be the most responsible and preferred company in the region.

Our Mission

The purpose of Total Kenya is to market quality petroleum products and services to its customers responsibly and profitably in an innovative way to ensure that the public will come and continue to turn to TOTAL.



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Celebrating 60 Years of Service

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NOTICE OF THE ANNUAL GENERAL MEETING

TO ALL SHAREHOLDERS

NOTICE is hereby given that the 61st Annual General Meeting of the Company will be held at Safari Park Hotel, The Jambo Ball Room, Thika Road, Nairobi on Friday, 12 June 2015 at 10.00 a.m. to transact the following business:-

AGENDA

ORDINARY BUSINESS

1. To read the notice convening the meeting, table proxies and to confirm the presence of a quorum.
2. To confirm the minutes of the 60th Annual General Meeting held on 13 June 2014.
3. To receive, consider and adopt the Financial Statements for the year ended 31 December 2014 together with the Chairman's Statement and the reports of the Directors and the Auditor's report thereon.
4. To declare a first and final dividend of KShs 0.70 (2013; KShs 0.60) per share in respect of the financial year ended 31 December 2014 payable to the holders of Ordinary Shares and Redeemable Preference Shares on record at the close of Business on 12 June 2015.
5. To approve the Directors' fees for the financial year ended 31 December 2014.
6. To re-elect Mr Momar Nguer, a Director retiring in accordance with Article 97 of the Company's Articles of Association and, being eligible offers himself for re-election.
7. To note that Messrs Ernst & Young continue in office as Auditors by virtue of Section 159 (2) of the Kenyan Companies Act (Cap. 486) and to authorise the Directors to fix their remuneration for the ensuing financial year.

NOTE

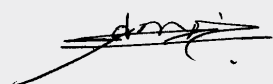
1. A member entitled to attend and vote at this meeting is entitled to appoint a proxy to attend and vote on his or her behalf. A proxy need not be a member of the Company.

A Proxy Form may be obtained from the Company's website www.total.co.ke, the Registered office of the Company, Regal Plaza, Limuru Road, Nairobi, P O Box 30736 - 00100 GPO Nairobi, or from the offices of the Company's Shares Registrars, Comprite Kenya Limited, Crescent Business Centre, 2nd Floor, Off Parklands Road, Nairobi.

To be valid, a Form of Proxy must be duly completed by the member and must either be lodged with the Company Secretary, P O Box 73248 - 00200 Nairobi or the Shares Registrars on the above address not later than 10.00 a.m. on 10 June 2015, failing which, it will be invalid. In the case of a corporate body, the proxy form must be executed under its common seal.

2. In accordance with Article 144(a) of the Articles of Association of the Company, a copy of the entire Annual Report and Accounts may be viewed at the Company's website at www.total.co.ke or a printed copy may be obtained from the Registered Office of the Company, Regal Plaza, Limuru Road, Nairobi, P O Box 30736 - 00100 GPO Nairobi.

BY ORDER OF THE BOARD



J L G MAONGA
COMPANY SECRETARY
Date: 15 May 2015

DIRECTORS & PROFESSIONAL ADVISORS

HEAD OFFICE AND REGISTERED OFFICE

Regal Plaza, Limuru Road
P. O. Box 30736 – 00100 NAIROBI

DIRECTORS

Jonathan Molapo**	(Non-executive)	Chairman
Ada Eze***	(Executive)	Managing Director (Alternate to Jonathan Molapo as Chairman)
Patrick Waechter*	(Executive)	Finance Director (Alternate to Ada Eze)
Maurice K'Anjejo	(Executive)	(Alternate to Momar Nguer)
Daniel Mayieka	(Executive)	(Alternate to Aurore Delarue)
Alice Mayaka	(Non-executive)	
Aurore Delarue*	(Non-executive)	
Momar Nguer*	(Non-executive)	

* French

** South African

*** Nigerian

ADVOCATES

Njoroge Regeru and Company
Arboretum Drive, Milimani
P.O. Box 46856-00100
NAIROBI

Hamilton, Harrison & Matthews
ICEA Building, Kenyatta Avenue
P.O. Box 30333-00100
NAIROBI

Mohammed Muigai Advocates
MM Chambers, 4th Floor
K-Rep Centre, Wood Avenue
Off Lenana Road, Kilimani
P.O. Box 61323-00200 NAIROBI

Waweru Gatonye & Co.
Timau Plaza
Argwings Kodhek Rd,
P.O. Box 55207 - 00200
NAIROBI

Musyimi & Co. Advocates
M'pulla House, Arboretum Drive
Off State House Road
P.O. Box 12502-00400 NAIROBI

Muthoga Gaturu & Co. Advocates
Bruce House, 7th Floor
Standard Street
P.O. Box 47614-00100 NAIROBI

Waruhiu Kowade & Nganga Advocates
Taj Towers, 4th Floor, Wing B
Upperhill Road
P.O. Box 47122-00100 NAIROBI

Kiarie Kariuki & Associates Advocates
Bemuda Plaza, 2nd Floor
Ngong Road
P.O. Box 13808-00100 NAIROBI

Bowyer Mahihu & Co Advocates
Hokmah House
Kirichwa Lane
P.O. Box 4317-00200
NAIROBI

Kibuchi & Co. Advocates
Finance House, 14th Floor
Loita Street
P.O. Box 28647-00200
NAIROBI

Muriu Mungai & Co. Advocates
MMC Arches, Ground Floor
Spring Valley Crescent
P.O. Box 75362-00200
NAIROBI

Mwaniki Gitau & Co. Advocates
Town House, 8th Floor
Kaunda Street
P.O. Box 15816-00100
NAIROBI

REGISTRARS

Comprite Kenya Limited
Crescent Business Centre, 2nd Floor
P.O. Box 63428-00619
NAIROBI

SECRETARY

J L G Maonga
Certified Public Secretary (Kenya)
P.O. Box 73248-00200
NAIROBI

AUDITORS

Ernst & Young
Kenya Re Towers, Off Ragati Road
P.O. Box 44286 - 00100
NAIROBI

BANKERS

Citibank NA
Citibank House, Upper Hill Road
P.O. Box 30711-00100 NAIROBI

Standard Chartered Bank Kenya Limited
Chiromo, 48 Westlands Road
P.O. Box 30003 - 00100 NAIROBI

Barclays Bank of Kenya Limited
4th Floor, The Westend Building
Off Waiyaki Way, Westlands
P.O. Box 46661-00100 NAIROBI

Bank of Africa Kenya Limited
8th Floor, International House
Mama Ngina Street
P.O. Box 69562 - 00400 NAIROBI

CfC Stanbic Bank Limited
CfC Stanbic Center, Chiromo Road
P.O. Box 30550-00100 NAIROBI

Kenya Commercial Bank Limited
Corporate Services, Moi Avenue
P.O. Box 30081-00100 NAIROBI

The Co-operative Bank of Kenya Ltd
Co-operative House
Haile Selassie Avenue
P.O. Box 48231-00100 NAIROBI

Commercial Bank of Africa Limited
Mara and Ragati Roads, Upper Hill
P.O. Box 30437-00100 NAIROBI

ECO Bank
ECO Bank Towers, Muindi Mbingu St
P.O. Box:49584-00100
NAIROBI

Imperial Bank
Westlands Rd Imperial Court
P.O. Box 44905-00100 NAIROBI

REPORT OF THE DIRECTORS

The directors submit their annual report together with the audited financial statements for the year ended 31 December 2014, which show the state of the affairs of Total Kenya Limited ("the company").

1. PRINCIPAL ACTIVITY

The principal activity of the company is the sale of petroleum products.

2. FINANCIAL RESULTS

The results for the year are as follows:

	2014 KShs '000	2013 KShs '000
Profit before tax	2,276,005	2,084,517
Tax charge	(851,917)	(772,240)
Profit for the year	1,424,088	1,312,277

3. DIVIDENDS

The directors recommend a first and final dividend of KShs 0.70 (2013: KShs 0.60) per share in respect of the year. The dividend is subject to withholding tax at a rate of 5% for residents and 10% for non-residents, unless specifically exempted.

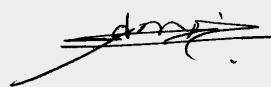
4. DIRECTORS

The directors who served during the year and to the date of this report are set out on page 3.

5. AUDITORS

The company's auditors, Ernst & Young, have expressed their willingness to continue in office in accordance with Section 159(2) of the Kenyan Companies Act.

By Order of the Board



Secretary
31 March 2015

STATEMENT OF DIRECTORS' RESPONSIBILITIES



Celebrating 60 Years of Service

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year, which give a true and fair view of the state of the financial affairs of the company as at the end of the financial year and of its operating results for that year. It also requires the directors to ensure that the company keeps proper accounting records which disclose, with reasonable accuracy, the financial position of the company. They are also responsible for safeguarding the assets of the company.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company will not remain a going concern for at least the next twelve months from the date of this statement.

A handwritten signature in black ink, consisting of a stylized 'A' followed by a series of loops and a long horizontal stroke.

Managing Director

A handwritten signature in black ink, featuring a large, stylized 'L' followed by a series of loops and a long horizontal stroke.

Finance Director

31 March 2015

DIRECTORS' PROFILES



Jonathan MOLAPO

Mr. Molapo, aged 47, has over 20 years experience in sales and marketing. He holds a BA Economics from Laurentian University, Canada and has pursued an International Executive Programme from INSEAD University. Jonathan joined Total South Africa in 1997 where he served in various capacities including Area Sales Manager, Retail Sales Manager, Manager Training & Retail Management Support and Project Manager. In 2003, Jonathan became Managing Director and CEO, Total Commercial Services before his appointment as General Manager, Total South Africa in 2005. In 2008 he served as Managing Director, Total Petroleum Ghana Limited until his current appointment as Executive Vice President for East & Central Africa since 2011.



Ada EZE

Ms Ada Eze, aged 43, holds a Masters Degree in Accounting & Finance from the London School of Economics. She joined the Total Group in 1996 and has worked in several countries in different positions in Finance, Strategy and Business Development and Marketing. In 2008, she was appointed Regional Manager for the Paris Area in the French Highway Retail Network. She thereafter became Managing Director of Total Uganda in 2011, a position she held until August 2013 when she was appointed Managing Director, Total Kenya.



Alice MAYAKA

Mrs. Alice K. Mayaka, CBS, OGW, aged 63 holds a BEd. (Sc) from the University of Nairobi, Postgraduate Diploma in Curriculum Development from Kenyatta University and MSc. (HRD) from the University of Manchester, UK. In 1997, she was appointed an Assistant Director, Directorate of Personnel Management where she rose through the ranks to become Deputy Director before her appointment as Permanent Secretary in what used to be known as the Ministry of Heritage and Culture. Alice is also a Council Member at the University of Eldoret. She was appointed to the Total Kenya Board in October 2010.



Momar NGUER

Mr. Momar Nguer, aged 59, is a graduate of ESSEC Business School, France. His career started in 1982 in Hewlett Packard France's Finance Department. He joined Total in 1984, where he has served in various positions. After a stint at Total Africa's headquarters, he was named Vice President, Marketing, at Total Senegal in 1985. Returning to Paris headquarters in 1991, he was appointed Vice President, Retail Network and Consumers at Total Africa. In 1995, he became Chief Executive Officer, Total Cameroon and was subsequently named Chief Executive Officer of Total Kenya in 1997. In the year 2000, he took the position of Executive Vice President, Total East Africa & Indian Ocean, a position he held until 2007 when he was appointed Vice President, Aviation fuel. In December 2011, Momar Nguer was appointed to his current position as Senior Vice President, Africa/Middle East at Total Marketing & Services. He is a member of the Total Group Management Committee.

DIRECTORS' PROFILES

Maurice K'ANJEJO

Mr. Maurice Odhiambo K'Anjejo, aged 57, holds a Bachelor of Commerce Degree (Accounting) from the University of Nairobi. He started his career in Internal Audit at TPS Serena group upon graduation in 1983 before joining Total Kenya Limited in 1985 as Management Accountant. He has since held various responsibilities, including being Treasury Manager, Chief Accountant and Human Resources and Administration Manager. He was appointed the Corporate Affairs Manager in 2003, a post he holds to date.



Patrick WAECHTER

Mr. Patrick Waechter, aged 49, has a MSc Degree in Finance and Controlling from Ecole Supérieure de Gestion. He worked in Total 'Outre-Mer' as Department Manager for Accounting Treasury and Taxes for Africa and Middle East, Total Fluides as Finance and Administration Director for the special fluids business unit and Total Bitumen Deutschland (Germany) as Finance and Administration Manager. He was appointed the Finance Director of Total Kenya Limited in September 2011.



Daniel MAYIEKA

Mr. Daniel Minda Mayieka, aged 44, holds a Bachelor of Commerce Degree from the University of Nairobi and has completed post graduate studies in Strategy and Strategic Management. He has 17 years experience in the Oil Industry having served in various capacities that include sales & marketing, marketing support and customer service among others. Before being appointed Specialties Manager in 2009, he was responsible for all Commercial activities of Chevron in East Africa encompassing the countries of Kenya, Uganda and Tanzania.



Aurore DELARUE

Ms. Aurore Delarue, aged 39, is a graduate of Ecole Supérieure des Sciences Economiques et Commerciales - ESSEC Business School, Paris. She joined the Total Group in 1999 where she held different positions in the Finance Division in Paris. In 2005, she joined the Trading and Shipping Division as Internal Controller and in 2008 was appointed as Financial Control General Manager. In 2013, she moved back to Finance Division where she handled Corporate and Project Finance for Marketing and Services subsidiaries in Africa and Middle East area.



J.L.G MAONGA

Mr. Maonga, aged 54, has a B A Degree from University of Nairobi and is a Certified Public Secretary. He is a member of the Institute of Certified Public Secretaries of Kenya and has over 20 years experience in Company Secretarial and Registration Services. He was appointed Company Secretary on February 1, 1999.





COMPANY PROFILE

CORPORATE STATUS

Total Kenya Limited is part of the global Total Group, which is the fifth largest publicly traded integrated international oil and gas company in the world. Total is deeply rooted in Kenya's economy and society, with long-term investments amounting to many billions of shillings. Total has been operating in Kenya for the past 60 years; it was and still is the first multinational oil company to be quoted on the Nairobi Securities Exchange and is a key part of Kenya's essential services infrastructure. It is one of the largest revenue generators for the exchequer, and has been a consistent leader in technical innovation, service quality and community project action.

CORE BUSINESS

Total Kenya's core business is the marketing and distribution of petroleum fuels and lubricants and related products and services to industry, transport, commercial and domestic users throughout Kenya.

MAINSTREAM PRODUCTS

Mainstream fuel products include automotive gasoline (petrol) and gasoil (diesel), Liquefied Petroleum Gas (LPG), dual-purpose kerosene (DPK, both Illuminating kerosene and Jet A1), aviation fuel (Avgas), industrial diesel and fuel oil. The range of lubricants includes high performance engine and transmission oils and greases for all applications in automotive and industrial machinery of all kinds.

The company also markets car care products such as engine coolants, distilled water, brake fluids, cleaning compounds, auto shampoos, dash board cleaners, air fresheners and is now actively involved in the provision of clean energy solutions with the revolutionary solar lanterns that target mainly people not connected to the mains grid.

THE FACILITIES

All of Total's facilities conform to international standards, especially in relation to personnel, customer, environmental and user-equipment safety, through both built-in designs, the integrity of equipment, and strict operational codes. A lot of attention is paid to industrial safety with the key objective being the achievement of zero accidents in all facilities.

These systems are enforced by requirement, reinforced by training, and maintained by constant monitoring and special inspection.

At TOTAL stations, for example, these standards apply to every aspect from construction of buildings, underground seepage barriers, oil and grease traps, the integrity of equipment, the skill

and discipline of personnel, supervision controls, and emergency response procedures. Both design and operations ensure clean and spacious layouts, clear signage, smooth traffic flows, and efficient function. Staff is qualified, well trained and constantly upgraded

PERSONNEL PERFORMANCE

All Total Kenya employees receive regular and specialist training. Teamwork, professionalism, cross-functionality and energy are part of the corporate culture. Activities such as soccer, interdepartmental quizzes and mountain climbing are an integral part of the staff wellness and team building programmes. This creates a performance ethic that ensures every task and service whether at the reception desk of an office, the docking station of a depot or under-bonnet checks on a station forecourt is friendly, proficient and quick.

STATIONS

TOTAL stations offer a wide and ever-increasing range of value added services all delivered to the highest quality standards. All TOTAL stations are both an oasis of services for travelers and an integral part of their local community. Total Kenya has started a major campaign that will see the company rebrand and transform all service stations to the new and more modern image that blends our outlets with the environment by the year 2017.

BUSINESS CONDUCT

Total Kenya's own business is run to a high standard of integrity and professionalism in all respects, and all its investments, employment practices, health, safety and environment commitments as well as commercial dealings guarantee these qualities.

Total Kenya has achieved ISO 9001:2008 Certification (relating to customer-focused quality management and continuous improvement throughout its network), ISO 14001:2011 (for environmental management) and ISSRS Level 3 (excellent) ratings in safety achievement for key depots. Total has a non-stop programme, backed by regular audit, to recertify, further upgrade and extend these systems in all its operations.

The company constantly innovates and invests in people, equipment, and systems to ensure it offers the best possible service to its customers in competitive value, reliable delivery, management and structural support and administrative efficiency.

INNOVATION

Creative thinking and action is more than just a buzzword at Total Kenya. It is an ever-present part of the Company's marketing strategy and performance delivery, a determination to make good products and services even better, to tailor both even more

COMPANY PROFILE

exactly to customer preferences, to respond to technical, market and lifestyle dynamics and to take a competitive position and add even more value. To reinforce innovation and mainstream innovative thinking, the company dedicates specific periods in its annual calendar to innovation. These are referred to as 'innovation weeks'. There is also a dedicated team that champions innovation. Some of the ideas generated from this process have already been implemented as part of the company's never dying push for value added service delivery.

ACCESS TO ENERGY

Total Kenya has championed the evolution of the LPG market that was hitherto limited to 12 kg cylinders for many decades. It was Total Kenya who introduced the innovative and more portable and lower-cost 6 kg Meko that has become the obvious choice for lower-budget consumers and a must-have domestic companion for domestic cooking and lighting back up. In parallel, Total Kenya has invested heavily in high-capacity storage and modern sophisticated refilling facilities.

The introduction of the affordable solar lanterns in the Kenyan market which is part of the AWANGO by Total initiative, has not only taken a giant leap towards the provision of clean energy solutions to the Kenyan people but has also changed lives for people who were hitherto not connected to the mains grid and who could not afford alternative forms of lighting. The TOTAL Sola lanterns are truly revolutionary in this respect and have seen many people shift from the use of candles, tin lamps or wood fuel for their lighting needs with immense benefit both in terms of cost saving and comfort.

TOTAL MOTORSHOW

Total did not simply buy title to the Kenya Motorshow. It was a partner in founding, designing and running the event, and a prime mover in its subsequent growth to international stature and regional pre-eminence. The TOTAL Motorshow remains the biggest motor expo in middle Africa that brings together the formal motor industry players and service providers to the sector.

TOTAL BON VOYAGE FUEL CARD

Fuel cards have become universal currency. The TOTAL Bon Voyage card was the pioneer fuel card in Kenya and the first to introduce SMART technology (which is programmable to enhance security and personalized flexibility) as opposed to the conventional magnetic strip.

ENVIRONMENT

The TOTAL Eco Challenge is no off-the-peg project. Its concept and design conceived and developed entirely by Total Kenya are unique. Its success is unprecedented in the promotion of tree planting, and it is also a best practice model for any sustainable development project.

That is the essence of Total Kenya. Being the best and always striving to be even better.



Boda boda pump

Innovating new dynamic solutions to evolving market needs



Test & Diagnostics Lab

In-service lubricants testing and analysis solution for our industrial customers.



The TOTAL BON VOYAGE card

A safe, simple, smart fleet management solution.



TOTALGAZ

The leading LPG brand in the Kenyan market.

CORPORATE GOVERNANCE

INTRODUCTION

Corporate Governance (CG) is the process by which companies are directed, controlled and held to account. CG standards are set to improve stakeholder value, by ensuring companies are responsibly structured and operated, are transparent and accountable in their conduct, and deliver accurate financial information.

Total Kenya Limited, through its Group and Company codes of conduct, complies with the highest CG standards, both nationally and internationally. CG standards and performance are regularly reviewed, to ensure the company is always up-to-date in this dynamic field, and strictly compliant.

Total Kenya, rejects corruption in all its forms and has a robust anti-corruption policy. The company has appointed an Ethics Officer as well as a Compliance Officer with specific mandates to spearhead efforts towards eradicating corruption both internally and with third parties with direct dealings with the company and has put in place specific guidelines in relation to whistle blowing. To create awareness and enforce compliance, the company conducts anti-corruption trainings targeting all employees using e-learning.

BOARD OF DIRECTORS

The Directors are appointed by the shareholders on a three-year term. They may stand for re-election. The current composition of the Board is given on page 3 of this report. Implementation of the Board's directives is delegated through a Management Committee, which comprises all heads of departments and an Audit Committee. The management structure has a clear framework and is governed by precise organisational procedures, in which all staff is specifically trained and which have built-in checks and controls.

AUDIT COMMITTEE

The Audit Committee established by the Board contains at least three directors and is headed by an independent, non-executive director. In selecting the members of the Committee, the Board pays particular attention to their financial and accounting qualifications and experience. During the year 2014, members of the committee were:

Chairman	Alice Mayaka
Member	Patrick Waechter
Member	Maurice K'Anjejo

The principal responsibilities of this Committee include reviewing financial reports, internal audit reports, management letters and other information it orders to be tabled. The Committee holds at least four formal meetings each year, which are also attended by the external auditors. It may also meet with the Managing Director, perform inspections and interview managers of the company at any time deemed appropriate or necessary.

MANAGEMENT COMMITTEE

This Committee, comprising the Managing Director and all the Heads of Departments, meets every fortnight to review performance, discuss issues, map out on-going operational strategies, and optimise co-ordination of all the Company's business processes. It serves as a channel for communication and feedback on issues that affect the business and performance of the Company in the short to medium term.

TENDER COMMITTEE

This Committee, focused on monitoring and evaluation of procurement policies, comprises the following people:

Finance Director	Chairman
Corporate Affairs Manager	Secretary and Member
Operations Manager	Member
HSEQ Manager	Member
HR & Admin Manager	Member and Alternate Secretary
Marketing Manager	Member

They ensure all tenders are conducted in an open and unbiased manner, in compliance with the laid down procedures. The Committee ensures the Company's procurement process conforms to The Group's standards and is independent of any interference.

COMMUNICATION WITH THE SHAREHOLDERS

The company provides timely and appropriate information to shareholders through publication of periodic accounts and the Annual Report and holds an annual face-to-face briefing. Shareholders are also advised of all important events that impact the Company's operation.

RELATIONS WITH EMPLOYEES

Key activities include regular staff communication meetings, team building processes, performance evaluation and training, career management, safety briefs, regular staff communication bulletins (Flash), electronic mail, blog and a quarterly newsletter. In addition to these mechanisms, the company encourages dialogue and warm relations as part of the working culture of every employee.

CORPORATE SOCIAL RESPONSIBILITY (CSR)

Total Kenya regards CSR as a fundamental and priority investment in focus, time, resources and funding in both its core business operations and in external programmes. The translation of these principles into practice is amplified in the Social Report section of this document.



See daylight during the night.

TOTAL SOLA Lanterns.

Available at your TOTAL service station.

www.total.co.ke  Total  @totalkenya

Energizing life. Every day



TOTAL
COMMITTED TO BETTER ENERGY

SOCIAL REPORT

Total Kenya states that social responsibility is “built-in” to its business, not just “bolted-on”. It pledges commitment to CSR that matches its commitment to commercial activities.

As the company marks its diamond anniversary, those commercial activities directly or indirectly reach every Kenyan. So, to honour the promise, the company's social projects must match that. They must reach everybody.

The broad CSR portfolio embraces seven main themes: health, education, culture, institutional, professional and economic development, and the environment. The company's overall spend on these projects averages 5% of its operating income, and the investment levels are sustained even when business results are not. All the programmes are long term and based above all on the principles of sustainable outcomes.

The scale of this work involves Total in every cadre of society, across all elements of the economy and all regions of the country. It directly involves millions of people and indirectly impacts every Kenyan, in every part of the country.

ENVIRONMENT

Environmental programmes have the highest priority, because a healthy environment underpins the prospects of all other activities, and Kenya's environment faces the most immediate threat of (potentially irreversible) damage at a time of rapid development and prodigious population growth.

Environmental responsibility starts with the design and conduct of Total's own processes and stations, including product shipment and storage, waste management, pollution preventatives and safeguards, public education on fuel efficiency, aspects of personnel training, outreach to staff families and communities, and so on.

Total Kenya then has four major external environmental programmes: the Rhino Ark/Rhino Charge event, the TOTAL Eco Challenge, the TOTAL Tree Conference, and now progress on construction of the TOTAL Seed Centre. All strive to exemplify the company's CSR principles.

In the past 60 years, Kenya's population has increased from 8 million to more than 40 million. In the next 60 years it is projected to more than double again. Though development is greatest in urban centres, 70% of the population is rural and agri-based; tourism, which is dependent on unspoiled fauna, flora and habitat, is an economic mainstay.

Total Kenya has further identified trees – both inside and outside forests – as central to environmental health. Total has supported, and in many instances initiated, programmes of unprecedented impact in this arena.

Trees inside existing forests

The lifeblood of Kenya's environmental health is its great mountain forests. These are the source of all major rivers, prime regulators of climate, and treasuries of biodiversity. Simply, but emphatically, these are both a priceless and irreplaceable heritage and are crucial to just about every aspect of Kenya's wellbeing – viable agriculture (including many millions of small-scale farmers and the economic mainstay of tea), urban water supplies, tourism revenues, and all that cascades from those.

To preserve the great mountain forests from increasing population pressure and plunder, and to protect neighbouring farms from marauding wildlife, a private organization called Rhino Ark launched an initiative to fence them. The plan was widely regarded as a mission impossible, but Total backed it through the Rhino Ark's flagship event, the Rhino Charge, a wild off-road motoring challenge, which was designed to raise awareness and funds.

Today the event is huge and world famous; it is celebrating its 27th anniversary, and it raises more than \$1 million per year. It champions the cause, inspiration to action, public and policy support and delivery of funds which have helped fence the entire Aberdare ecosystem and the Mau Eburu forest, started to fence Mt Kenya, funded a Trust to maintain these developments in perpetuity, and now underpin the Rhino Ark plan (in conjunction with KWS, KFS and private land-owners) to establish wildlife corridors between mountains and on routes to lakes.

The Rhino Charge remains the project flagship. Total continues to supply fuel for all its ground and air operations...for a third decade.

Trees outside forests

Eleven years ago, as the Aberdares fence-building gathered momentum and credibility, Total Kenya recognized that protecting existing forests was not, on its own, enough. The population pressure on every aspect of the environment, especially for settlement space, water and wood products, is unstoppable. If the great indigenous forests are the only source of trees, no fence is high enough, long enough or strong enough to keep them safe.

Ultimately, the best and perhaps only way to ensure the forest fences survive is to meet demand for wood by planting enough trees outside forests. The TOTAL Eco Challenge was devised to

SOCIAL REPORT

help ensure that demand is met, by inspiring every man, woman and child in Kenya to plant trees – everywhere.

The public response has been spectacular, and the TOTAL Eco Challenge has registered more than 5,000 projects which have together planted several millions of trees since the campaign began. All these projects are chosen and sustainably run by their independent owners (ranging from individual smallholder farmers to giant corporations and the whole Kenya Army). Total Kenya provides inspiration, a promotional platform, enabling help, award incentives, technical assistance and public education.

For every formally registered Eco Challenge project there are an estimated 10 (making a national total of 50,000) which are in some way inspired or indirectly supported by the message and campaign momentum. Not least, the campaign has helped spawn many thousands of tree nurseries in every part of the country, generating livelihoods and ensuring anyone who wishes to plant a tree can now get seedlings in a popular range of species almost anywhere.

Total Kenya does not regard the success and considerable sustainability of these initiatives as a reason to do less. It is doing more.

To optimize the synergy between all forest preservation and tree planting efforts, there is now a TOTAL Tree Conference which has, since inception in 2012, evolved by popular demand into an annual event, bringing together individual and institutional stakeholders, policymakers and both national and international expertise – for their mutual understanding and networking, and to optimize co-ordination of policy, planning and action. The conference has now embraced Kenya Forest Service, the national lead agency, as a partner in the event to better translate its outputs into outcomes.

Further, to ensure all nurseries and projects can access viable tree seed of the widest possible range of species, Total Kenya is partnering the social enterprise African Forest to establish a tree seed centre, with collection, preparation, storage, packaging and distribution systems with national reach and unprecedented capacity for diversity, quality and quantity. The diversity of seed species readily available is expected to increase ten-fold.

SOLAR ENERGY

In 2010, as part of the AWANGO by Total initiative that aims to improve access to energy, Total started distributing competitively priced solar lanterns that have proved very popular and greatly improved the quality of life for Kenyans. Hundreds of thousands of Kenyans, especially low income consumers have benefited from this initiative.

Total Kenya has formed partnerships with other economic development stakeholders such as GIZ to develop resellers in rural areas.

CULTURE AND SOCIAL

Spotlight on Kenyan music

For many years, Total Kenya has supported this Alliance Française project to find and promote grass-root talent through which several musicians have made it to the international scene. This is one of many projects between Total Kenya and the French Cultural Centre in Kenya. The spotlight on Kenyan music has the objective of exposing talent especially of artistes from pastoralists communities who would hitherto not have had the opportunity to showcase their music at a national stage. The initiative also aims to promote peace and cohesion among the various communities. There is also extensive provision for Total Kenya staff to learn the French language.

Orphans

“Society needs Total and Total needs society” is the underlying philosophy informing Total Kenya’s long-term sponsorship of three “TOTAL Houses” within the SOS Children’s Village network. A staff initiative is underway and will see more houses receive sponsorship.

ROAD SAFETY

Total Kenya is a major partner of the Safe Way Right Way (SWRW) NGO promoting road safety along the Northern Corridor. It is also part of the National Road Safety Trust (a partnership of Kenyan corporates and media promoting road safety awareness) and the International Roads Assessment Programme (iRAP) which assesses, grades and seeks to improve the in-built safety design of highways.

Total will continue to encourage private companies from all sectors to join this initiative, and to channel funds, skills and other resources to adoption and sharing of best practice in changing road-user attitudes. Total Kenya, through a PIEA initiative, has donated two fully equipped Accident Emergency Rescue Centres to the St. John Ambulance to help in quick response to accidents around those spots.

Independently, Total Kenya runs a children’s programme producing Road Safety Ambassadors among young learners. The programme has so far reached more than 80 schools and educated tens of thousands of pupils. The programme is now an integral part of the curriculum in these institutions.

SOCIAL REPORT

INSTITUTIONAL/PROFESSIONAL DEVELOPMENT

Petroleum Institute of East Africa (PIEA)

As a leading member of the Petroleum Institute of East Africa, Total Kenya champions high standards in the industry, and directly supports professional training of students in the PIEA School of Petroleum Studies.

Young Dealer scheme

Total gives a life-changing chance to young Kenyans through special capital cost support for station dealership while the entrepreneurs gain experience and stand-alone financial strength. The company finances the working capital of the station while the young dealers make gradual steps towards independence by ploughing back part of their profits to eventually become full dealers with their own working capital.

EDUCATION

Mentorship

Female employees of Total Kenya, in partnership with Global Give Back Circle (Part of the Bill Clinton Foundation), participate in a mentorship programme for girls from disadvantaged backgrounds, nurturing life skills that will help them escape the "poverty trap" and empower the next generation.

Total Kenya is also actively involved in the Young Graduate Management Trainee programme, and partners with academic institutions to promote youth career development.

HEALTHCARE

HIV/Aids/Wellness

The TOTAL "Be Alive" programme provides peer educators and VCT testing throughout the company, with outreach to staff families and wider communities. It sets out a wholly non-discriminatory company policy, even in recruitment. The programme also promotes staff wellness through regular health clinics.

Malaria

Total Kenya actively supports national and global malaria prevention campaigns. Every year, through visits to schools, Total Kenya distributes more than 50,000 public education pamphlets and 2,000 dipped (insecticide-treated) nets. Also, as part of the commemoration of World Malaria Day, dipped nets and educational pamphlets are distributed to all new Total Kenya staff and those with recent babies.

Blood Donations

Twice every year Total Kenya staff donate blood through the Bloodlink Foundation, supplying the national blood bank. The blood is used to save the lives of many anonymous Kenyans who could be in dire need especially during emergencies.

SOCIAL REPORT



Spotlight on Kenyan music

Total Kenya supports this Alliance Française project to find and promote grass-root talent



Road Safety

Two fully equipped Highway Emergency Rescue Centres for quick response to road accidents.



Fight Against Malaria

We disseminate information and provide treated mosquito nets to children in an effort to fight malaria.



The TOTAL Young Dealer scheme

A life-changing opportunity for young Kenyans through Working Capital Support for station dealership.

CHAIRMAN'S STATEMENT

"Kenya maintained a stable macroeconomic environment in 2014. This being the second year of the implementation of the new constitution, there has been a lot of focus on devolution and especially on the role of the county governments on the economic growth."



TAARIFA YA MWENYEKITI

It gives me much pleasure to welcome you to the 61st Annual General Meeting of Total Kenya Limited and to present to you the Annual Report and Financial Statements for the company for the year ended 31 December 2014. This being the year we are celebrating our 60th anniversary, I acknowledge with gratitude the support you shareholders have continued to extend to the company over the years and as always, this is an opportunity for you to review the activities and performance of your company.

OPERATING ENVIRONMENT

Kenya maintained a stable macroeconomic environment in 2014. This being the second year of the implementation of the new constitution, there has been a lot of focus on devolution and especially on the role of the county governments on the economic growth. Increased security concerns have negatively impacted on business across several sectors and may play a determinant factor as to the future economic growth.

The operating environment for the oil industry in Kenya remained challenging with the sharp drop in the international oil prices in the last quarter of 2014.

The Kenyan economy grew by 5.3% in 2014, and it is expected to grow by 6.9% in 2015. The GDP growth in 2014 was mainly attributable to stable macroeconomic environment, relatively stable inflation supported by improved supply of basic foods, focus on infrastructural development, growth in financial services and construction sectors. These same sectors are expected to drive the economic growth prospects in 2015. Your company shall remain focused and will take full advantage of these growth prospects as they materialize.

PERFORMANCE

The company recorded good performance for the year ended 31 December 2014, in line with the Board projections.

Sales volumes increased by 8.5% from 1,491 KMT in 2013 to 1,618 KMT in 2014. This growth was attributable to increased sales to other Oil Marketing Companies (OMCs) after the company continued to win several contracts to supply the industry with refined products under the Open Tender System (OTS) agreement, increased sales in Network, General Trade and Lubricants channels. Due to this continued good performance, the company managed to retain inland market leadership position in 2014.

Net sales increased by 9.4% mainly as a result of the increase in sales volumes while cost of sales increased by 9.6%. The company recorded a 6.4% growth in gross profit from KShs 6.35 billion in 2013 to KShs 6.75 billion in 2014.

Other income increased by KShs 31 million as a result of increase in rents and commissions. Operating expenses remained relatively stable and increased by 5.2% (KShs 225 million) attributable to general annual inflation for 2014 and higher depreciation resulting from new investments in property, plant and equipment. Finance expenses also remained controlled at KShs 272 million (2013: KShs 279 million).

Nina furaha kuu kuwakaribisha kwenye mkutano mkuu wa 61 wa Kampuni ya Total Kenya Limited, na kuwasilisha kwenu ripoti ya kila mwaka na taarifa ya kifedha ya kampuni katika kipindi kilichomalizika tarehe 31 mwezi disemba mwaka 2014. Na huu ukiwa mwaka ambapo tunaadhimisha miaka 60 tangu kuanzishwa kwa kampuni ya Total Kenya, nawashukuru sana wenye hisa kwa kuendelea kuunga mkono kampuni hii. Na kama ilivyo desturi, mkutano huu huwapa fursa wenye hisa kutathmin shughuli na utendaji wa kampuni katika kipindi cha mwaka unaohusika.

MAZINGIRA YA KAZI

Kenya ilidumisha mazingira thabiti kwa shughuli za biashara katika kipindi cha mwaka 2014. Na huu ukiwa mwaka wa pili wa utekelezaji katiba mpya, ugatuzi umeangaziwa zaidi, hasa wajibu wake katika ukuzi wa uchumi. Utovu wa usalama hata hivyo umeathiri sekta nyingi za biashara hapa nchini, na huenda hali hiyo ikawa kigezo cha ukuaji wa uchumi wa nchi hii katika siku za usoni.

Mazingira ya kikazi kwa sekta ya mafuta hapa nchini yaliendelea kukumbwa na changamoto, huku bei ya mafuta ikipungua kwa kiwango kikubwa katika soko la kimataifa katika robo ya mwisho ya mwaka 2014.

Uchumi wa nchi hii ulikua kwa asilimia 5.3 katika kipindi cha mwaka 2014 na unabashiriwa kukua kwa asilimia 6.9 katika mwaka huu wa 2015. Ongezeko la pato jumla la kitaifa katika mwaka 2014, lilichangiwa pakubwa na mazingira thabiti ya kufanya biashara, ongezeko la vyakula, uwekezaji kwenye maendeleo ya muundo mbinu, ukuaji wa sekta ya huduma za kifedha na ile ya ujenzi. Sekta hizo hizo zinatarajiwa kuwa nguzo muhimu kwa ukuaji wa kiuchumi katika kipindi cha mwaka 2015. Kampuni yenu itaendelea kuwa makini na kutumia fursa hizo za ukuaji wa kiuchumi zinapochipiza kupanua hata zaidi shughuli zake kibiashara.

MATOKEO YA BIASHARA

Kampuni ilinakili biashara nzuri katika kipindi kilichomalizika tarehe 31 mwezi disemba mwaka 2014, kama ilivyobashiri bodi ya wakurugenzi.

Kiwango cha mauzo kiliongezeka kwa asilimia 8.5 kutoka KMT 1,491 mnamo mwaka 2013 hadi KMT 1,618 katika mwaka 2014. Ukuaji huo ulitokana na ongezeko la mauzo ya bidhaa zetu kwa kampuni nyingine za kuuza mafuta (OMC) baada ya kampuni kuendelea kushinda kandarasi za kusambaza kwa sekta nyingine bidhaa za mafuta yaliosafishwa chini ya mkataba wa mfumo wazi wa utoaji zabuni (OTS), ongezeko la mauzo kupitia mtandao wake, biashara ya jumla na ile ya mauzo ya mafuta laini (Lubricants). Kufuatia biashara hiyo nzuri, kampuni ilidumisha uongozi wa mauzo ya bidhaa za mafuta hapa nchini katika kipindi cha mwaka 2014.

Mauzo halisi yaliongezeka kwa asilimia 9.4 huku gharama ya mauzo ikiongezeka kwa asilimia 9.6. Kampuni ilinakili ukuaji wa asilimia 6.4 katika faida jumla kutoka KShs bilioni 6.35 mnamo mwaka 2013 hadi KShs bilioni 6.75 katika mwaka 2014. Mapato mengine yaliongezeka kwa shilingi milioni 31 kutokana na ongezeko ya kodi na ada nyinginezo. Gharama ya matumizi ilikuwa thabiti kiasi na iliongezeka kwa asilimia 5.2 yaani KShs milioni 225, hasa kutokana na ongezeko la gharama ya maisha na uwekezaji katika ujenzi na ununuzi wa vifaa vipya. Matumizi ya kifedha pia yalithibitiwa hadi KShs milioni 272 katika mwaka 2014 (Kutoka KShs milioni 279 katika mwaka 2013).

Kampuni ilipata faida ya KShs bilioni 2.28 kabla ya kulipa ushuru katika mwaka 2014 kutoka KShs bilioni 2.08 mnamo mwaka 2013. Faida halisi

CHAIRMAN'S STATEMENT

Profit before tax of KShs 2.28 billion (2013: KShs 2.08 billion) was realized. Net profit for the year was KShs 1.42 billion (2013: KShs 1.31 billion).

The company maintained a very strong statement of financial position recording a growth in net assets by 6.8% from KShs 15.38 billion in 2013 to KShs 16.43 billion in 2014.

INVESTMENTS

Total Kenya has continued to make significant investments in the local market, with operations in all major counties and towns in the country, in spite of the challenging operating environment, an indication that the Board has maintained its confidence in the Kenyan market. Investments totaling KShs 1.45 billion were made in the year compared to KShs 1.34 billion in 2013, representing an increase of 8.2% in line with the strategy to develop the business and safety operating standards.

We have remained focused on construction of new stations spread across the country, remodeling and re-branding of existing ones to improve on our brand visibility, purchase of new cylinders to increase cylinder float and replacement of various equipment at consumer sites. As it has been our practice, we continue to invest in industrial safety at all our installations for the ultimate safety of our personnel, contractors, customers and neighbours.

SOCIAL RESPONSIBILITY

As a corporate citizen of this country, Total Kenya takes its social responsibility undertakings with the same commitment that it does its commercial activity and has tried to intervene in the pillar issues of environment, road safety, health, education and culture among others.

With a firm belief that the greatest threat to Kenya's environment is deforestation, we initiated and continue to expand the Total Eco Challenge that has mobilised projects that have resulted in planting millions of trees every year. We work very closely with Kenya Forest Service and other related government agencies to complement the government's efforts in this key area.

Our long term partnership with the Rhino Ark Trust through which we have supported the annual Rhino Charge event as the "oil sponsor" has enabled the organization raise substantial funds that have been applied in securing Kenya's water towers from encroachment and destruction. We value this partnership and hope to maintain our support into the foreseeable future.

We remain deeply concerned at the loss of lives on the Kenyan roads and continue to work closely with the National Transport and Safety Authority together with the Safe Way Right Way partners in championing road safety awareness among the Kenyan motorists and general public. A special Children's Road Safety Program has been put in place in public primary schools to help entrench road safety awareness amongst young learners. It is through these efforts and the involvement of all stakeholders that we hope to reduce the road carnage and its associated costs to our economy.

In the health sector, we have been working with schools, not only in the dissemination of information on malaria prevention and treatment among the most vulnerable pupils in lower primary classes but also in distributing treated mosquito nets, especially in the malaria prone

ya kampuni katika kipindi cha mwaka 2014 ilikuwa KShs bilioni 1.42 kutoka KShs bilioni 1.31 katika mwaka 2013.

Kampuni pia ilidumisha taarifa thabiti ya kifedha kwa kunakili ukuaji wa asilimia 6.8 katika mali halisi kutoka KShs bilioni 15.38 katika mwaka 2013 hadi KShs bilioni 16.43 katika mwaka wa 2014.

UWEKEZAJI

Kampuni ya Total Kenya imeendelea kuwekeza kiasi kikubwa cha pesa katika soko la humu nchini, huku ikiwa na vituo katika kaunti zote muhimu hapa nchini, licha ya changamoto za mazingira ambapo inaendesha shughuli zake. Hii inaashiria kwamba bodi ya wakurugenzi ina imani katika soko la hapa nchini. Kampuni iliwekeza jumla ya KShs bilioni 1.45 mwaka 2014 ikilinganishwa KShs bilioni 1.34 ambazo kampuni iliwekeza katika mwaka 2013, kiasi kinachowakilisha ongezeko la asilimia 8.2. kuambatana na mkakati wetu wa upanuzi wa biashara na uzingatiji kiwango cha juu cha kanuni za kiusalama.

Kando na hayo tumeendelea kujenga vituo vipya kote nchini huku tukikarabati na kurembesha vile vilivyoko, kuimarisha umbo la bidhaa zetu, kununua mitungi mpya ya gesi na kuimarisha mtandao wa usambazaji mitungi hiyo ili kutosheleza mahitaji ya wateja wetu na kuweka vifaa vipya katika vituo vyetu ili kuwahudumia kwa njia bora zaidi wateja wetu. Na jinsi ilivyo desturi yetu, tunaendelea kuwekeza katika vifaa vya usalama, sio tu kwa wafanyakazi wetu, bali pia wanakandarasi, wateja na hata majirani wetu.

WAJIBU KWA JAMII

Kama kampuni inayojali maslahi ya raia wa nchi hii, Total Kenya hutilia maanani mipango ya kuinua hali ya maisha ya wakazi wa maeneo ambako inaendesha shughuli zake, na ndiyo sababu inajihusisha kwenye kampeini za kuangazia umuhimu wa uhifadhi wa mazingira, usalama barabarani, afya, elimu na hata utamaduni miongoni mwa mipango mingine ya kijamii.

Na huku ikitambua kwamba tisho kuu kwa mazingira ya nchi hii ni ukataji miti kiholela, kampuni ya Total Kenya ilianzisha mpango wa uhifadhi wa mazingira kwa jina Total Eco Challenge, mpango ambao chini yake mamillioni ya miti hupandwa hapa nchini kila mwaka. Tunafanya kazi kwa ushirikiano na shirika la huduma ya misitu na asasi nyingine za serikali zinazohusika na maswala ya uhifadhi wa mazingira, ili kuunga mkono juhudi za serikali katika nyanja hiyo muhimu.

Ushirikiano wetu wa muda mrefu na wakfu wa Rhino Ark, ambapo tumesaidia kufadhili shindano la kila mwaka "Rhino Charge", kwa kutoa mafuta kwa washiriki, umewezesha wakfu huo kuchanga kiasi kikubwa cha pesa, ambacho kimetumika kuweka ua la kuzuia uvamizi wa vyanzo muhimu vya maji hapa nchini. Tunathamini sana ushirikiano huo, na tunaahidi kuendelea kuunga mkono shindano hilo la kila mwaka.

Hata hivyo tuanasikitishwa na idadi kubwa ya Wakenya wanaoendelea kupoteza maisha yao kupitia ajali za barabarani. Hivyo basi tutaendelea kufanya kazi kwa ushirikiano na halmashauri ya kitaifa ya usalama barabarani, na shirika la the Safe Way Right Way kuwahamasisha watumiaji barabara zetu kuhusu umuhimu wa kuwa waangalifu. Mpango maalumu wa watoto unaoangazia usalama barabarani pia umezinduliwa katika shule za msingi za umma, ili kuwaelimisha watoto kuhusu kanuni za usalama barabarani. Kupitia ushirikiano huo, tuna imani kwamba tutachangia upunguzaji ajali kwenye barabara zetu, pamoja na hasara inayotokana na ajali hizo kwa uchumi wa nchi hii.

TAARIFA YA MWENYEKITI

areas of the country. Total Kenya, under the Be Alive program, is committed to the fight against HIV/Aids by promoting awareness and stigma eradication in the workplace and the community through deliberate interventions. We believe these modest contributions we make go a long way in supporting the government's efforts in addressing these most enduring health problems.

One of the most impactful initiatives that we hold dear is the Young Dealer Program. This is an entrepreneurship scheme that supports the career development of young service station employees with proven skills by providing them with working capital, training, mentorship and technical support necessary to become independent dealers. Total Kenya is also actively involved in various educational and mentorship programs with the aim of enriching young people's skills and talents. These include the Young Graduate Management Trainee program. We partner with institutions of higher learning to promote youth career development. We shall continue to ensure that our chosen activities in sustainable development are fully integrated into the Kenyan society, address the needs and are relevant to the local population.

OUTLOOK FOR 2015

The macroeconomic environment has remained stable over the year under review and the Board is optimistic that this will persist in 2015. However, stability of petroleum refined products prices may continue to be affected as experienced in the last quarter of 2014 and first quarter of 2015. It is on the premise of stable macroeconomic environment and expected return on planned investments that the Board has guarded confidence that the company will continue to perform well in line with the growth strategy put in place.

DIVIDENDS

In view of the good performance of the company and the continued need to invest in all business segments and safety improvements, the Directors are recommending for the approval at this meeting the payment of a first and final dividend of KShs 0.70 per share for the year ended 31 December 2014, payable to shareholders on the register of members at the close of business today, subject to withholding tax where applicable.

ACKNOWLEDGEMENTS

The company has over the 60 years of its existence received a lot of support and goodwill from our customers and other business partners. We thank them most sincerely for this. On behalf of the Board, I also wish to thank the management and the staff for their commitment and contribution towards the satisfactory results achieved in 2014.

To you the shareholders, I thank you for the confidence you have shown by choosing to invest in Total Kenya Limited.

Finally, I wish to thank the members of the Board of Directors for their dedication and able support that has helped your company remain a major player in our economy.

THANK YOU

Jonathan Molapo
Chairman

Katika sekta ya afya ,tume kuwa tukishirikiana na shule, sio tu katika usambazaji habari kuhusu uzuiaji na kutibu ugonjwa wa malaria miongoni mwa watoto, lakini pia utoaji neti zilizotiwa dawa, hasa katika maeneo ambako ugonjwa huo umekithiri. Kampuni ya Total Kenya chini ya mpango wa kuwa hai (Be alive) pia inasaidia katika kampeini ya kukabiliana na athari za maradhi hatari ya ukimwi, kwa kutoa hamasisho na ushauri jinsi ya kuepuka unyanyapa unaotokana na maambukizo ya ugonjwa katika sehemu za kazi na katika jamii kwa ujumla, kupitia mipango mbali mbali. Tunaamini kuwa michango yetu japo midogo, inapiga jeki jitihada za serikali za kushughulikia matatizo hayo ya kiafya.

Moja ya mipango ambayo tunathamini zaidi ni ule wa kujenga nyenzo kwa wafanyakazi katika vituo changa vya kuuza mafuta. Mpango huo wa ujasiria mali, unaowasaidia wafanyakazi wanaohusika kujikuza kitaaluma, kwa kuwapa mtaji, mafunzo na pia ushauri wa kiufundi wa kuwawezesha kujitegemea. Total Kenya pia inajihusisha kwenye mipango mbali mbali ya masomo na utoaji ushauri kwa vijana, kwa lengo la kuwakua kiujuzi na vipaji. Tunashirikiana na taasisi za elimu ya juu kufikia lengo hilo. Tutaendelea kuhakikisha kwamba miradi tunashiriki chini ya Maendeleo endelevu inanufaisha jamii zinazolengwa.

MATARAJO MWAKA 2015

Mazingira ya biashara hapa nchini yamesalia thabiti kwa kipindi cha mwaka 2014 na bodi ya kampuni yenu inatumai kwamba hali itabakia vivyo hivyo kwa kipindi cha mwaka 2015. Hata hivyo, uthabiti wa bei ya bidhaa za petroli huenda ikazidi kuathirika kama ilivyoshuhudiwa mnamo robo ya mwisho ya mwaka 2014 na robo ya kwanza ya mwaka 2015. Kutokana na hali hiyo ya utulivu, na mapato yanayotarajiwa kutokana na maekezo yetu, bodi ya kampuni inatumaini kwamba kampuni hii itaendelea kufanya vyema zaidi kuambatana na matarajio ya mipango yake ya ukuaji.

MGAO WA FAIDA

Kufuatia matokeo mema ya biashara katika kipindi cha mwaka 2014, pamoja na haja iliyopo ya kuendelea kuwekeza katika sekta zote za kibiashara huku tukiweka mikakati ya kuboresha usalama kwenye shughuli zetu, wakurugenzi wanapendekeza kwa mkutano huu kuidhinisha mgao wa faida wa kwanza na wa mwisho wa senti 70 kwa kila hisa kwa kipindi cha mwaka uliomalizikia tarehe 31 Desemba 2014. Mgao huo wa faida kulipwa wenye hisa waliokuwa kwenye sajili kufikia leo.

SHUKRANI

Kampuni katika kipindi cha miaka 60 ya huduma yake imepokea ungwaji mkono na kheri njema kutoka kwa wateja na washirika wetu kibiashara. Tunawashukuru kwa hayo. Kwa niaba ya bodi, nawashukuru wasimamizi na wafanyakazi kwa jitihada na mchango wao ambao, umeiwezesha kampuni kunakili matokeo bora ya biashara katika kipindi cha mwaka 2014.

Kwa wenye hisa, nawashukuru kwa kuwa na imani kwa kuwekeza katika Total Kenya Limited.

Mwisho, nawashukuru wanachama wa bodi ya wakurugenzi ya Total Kenya Limited, kwa jitihada na usaidizi wao ambao umeiwezesha kampuni hii kusalia mdau muhimu kwa uchumi wa nchi hii.

ASANTENI SANA
Jonathan Molapo
Mwenyekiti

MANAGEMENT EXECUTIVES



Ada EZE
(Managing Director)



Irene MUIDE
(Human Resource &
Admin. Manager)



Maurice K'ANJEJO
(Corporate Affairs Manager)



Patrick WAECHTER
(Finance Director)



John MUCHUNU
(HSSEQ / Operations Manager)



Aegidia SCHNEPP
(Planning &
Supply Manager)



Charles WAMBUGU
(Chief Internal Auditor)



Alban TARNEAUD
(Marketing Manager)



Kenneth KOSKEI
(Specialties Manager)

MANAGEMENT REPORT

OVERVIEW OF THE 2014 FINANCIAL YEAR FOR TOTAL KENYA LIMITED

The operating environment for the oil industry in Kenya remained challenging with sharp drop in the international oil prices in the last quarter of 2014. Crude oil prices dropped from Usd.109.50/barrel in July to close the year at Usd.60.65/barrel. Significant challenges still remain concerning pipeline pumping capacity limitation, mismatch between ullage allocation and market share in the industry resulting in supply disruptions and unfair competition.

Kenyan Inland Petroleum consumption grew by 8% in the year 2014 above the economic growth of 5.3% resulting from the recovery in the business environment that had slowed in 2013 following the prolonged election period.

SUMMARY OF RESULTS

The company recorded good performance for the year ended 31 December 2014, in line with the Board's projection. This was achieved through improved operating income resulting from increase in sales volumes, development of non-fuel revenues, optimization of financing needs and lower interest rates.

Total Kenya global sales volume went up by 8.5% in 2014 (from 1,491 KMT in 2013 to 1,618 KMT in 2014). This increase was attributable to increased sales to other Oil Marketing Companies (OMCs) after the company continued to win several contracts to supply the industry with refined products under the Open Tender System (OTS), increased sales in Network, General Trade and Lubricants. As a result of the strong sales performance in the various channels, the company was able to retain inland market leadership position in 2014.

Net turnover increased by 9.4% from KShs. 141.72 billion in 2013 to KShs.155.10 billion in 2014 due to increase in sales volumes. Cost of sales increased by 9.6%.

Gross profit which represents 4.4% of Net turnover increased by 6.4% from KShs. 6,347 million in 2013 to KShs. 6,750 million in 2014 as a result of increased sales.

Operating costs were reasonably controlled with an increase of 5.2% lower than the annual inflation of 6.9% in 2014.

Financing costs remained controlled at KShs.272 million (KShs. 279 million in 2013).

Profit before tax of KShs 2.28 billion was realised in the year compared to KShs. 2.08 billion in 2013.

Net profit for the year was KShs 1.42 billion (2013: KShs. 1.31 billion).

Investments during the year amounted to KShs. 1,447 million compared to KShs. 1,340 million in 2013 in line with the strategy to develop the business and safety standards.

ANALYSIS BY BUSINESS CHANNELS

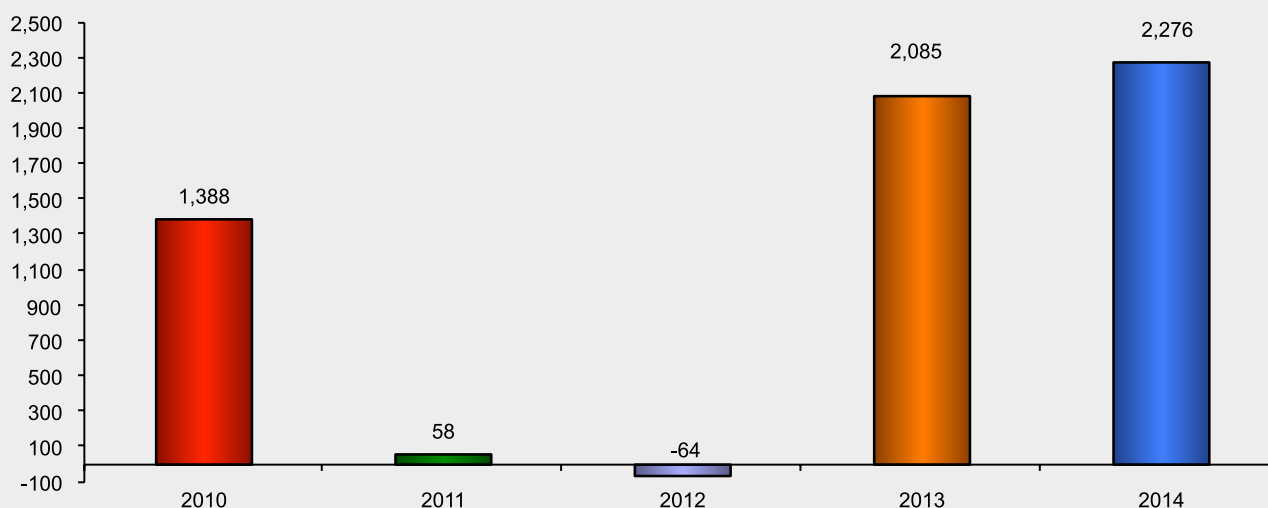
The company's four business channels are:

- The Network channel, which includes the distribution of petroleum products through service stations located across the country.
- The General Trade channel, which includes sales of a broad range of products to all sizes of industrial consumers;
- The Aviation channel, which comprises of sales of turbine kerosene and aviation gasoline to local and international air carriers;
- The Exports and Bulk channel, which comprises of sales of our full range of products to neighbouring countries and other industry players.

NETWORK

The network market environment remained competitive. Despite the challenging environment, sales in this channel registered a growth of 8% from 389 KMT in 2013 to 419 KMT in 2014. The growth in sales is mainly attributable to market growth in this channel of 6.4%, provision of quality service to customers and increased investments.

Results Before Tax (M KES)



MANAGEMENT REPORT

The company's objective is to continue investing in areas where population and traffic are growing. The range of our Non-oil services has continued to grow. They include: Convenient stores "Bonjour shops", Partnership with third parties, Auto clean for Car wash and Auto express service for pit-stop.

The Bon Voyage card has remained popular amongst individuals and corporates and has ensured customer loyalty. Our objective is to remain competitive as we strive to fully meet the expectations of our customers.

Network -Key figures	2014	2013	% CHANGE
Number of service stations	178	178	0%
Volumes Sold in KMT	419	389	8%
Turnover- net of taxes (KShs'million)	44,318	41,188	8%

GENERAL TRADE

The General Trade volumes increased by 10% compared to 2013 (270 KMT in 2014 compared to 245 KMT in 2013).

Turnover in General Trade channel increased by 9% from KShs.24.4 billion in 2013 to KShs 26.6 billion in 2014 as a result of increased sales volumes.

General Trade -Key figures	2014	2013	% CHANGE
Volumes Sold- KMT	270	245	10%
Turnover- net of taxes (KShs'million)	26,624	24,423	9%

AVIATION

Sales volumes in this channel decreased by 24% (from 178KMT in 2013 to 136 KMT in 2014).

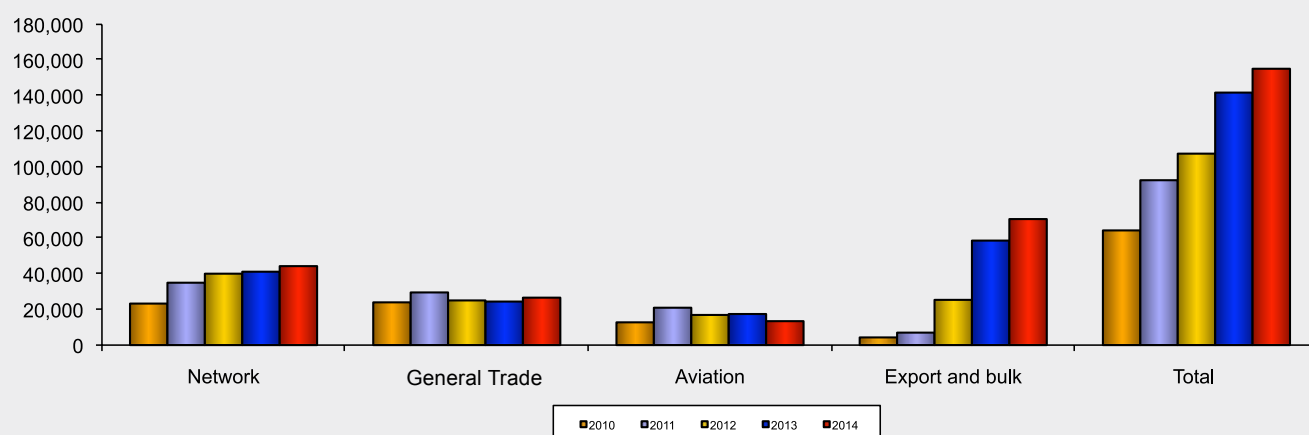
The decrease in volumes sold led to a decrease in turnover, from KShs 17.4 billion in 2013 to KShs 13.4 billion in 2014.

Aviation -Key figures	2014	2013	% CHANGE
Volumes Sold (KMT)	136	178	-24%
Turnover- net of taxes	13,428	17,445	-23%

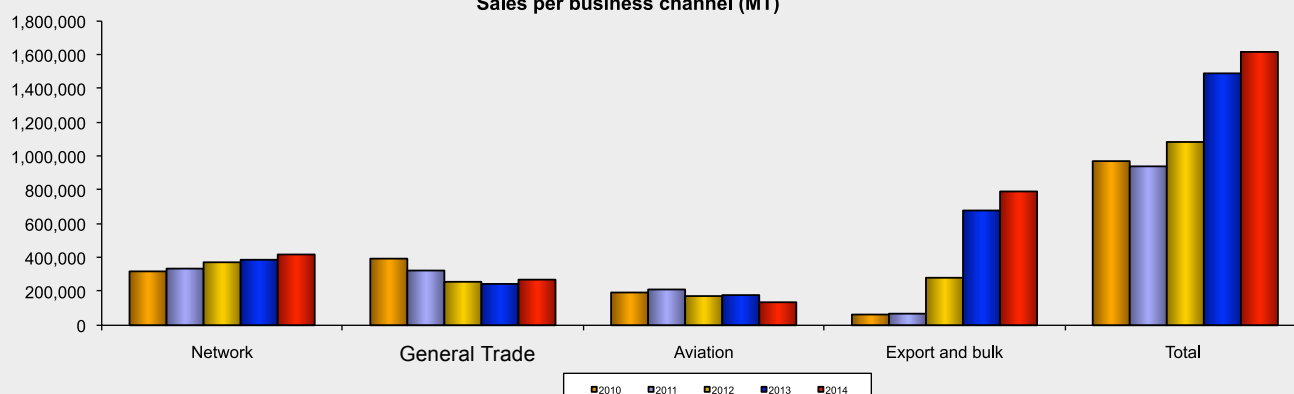
EXPORTS AND BULK

Export and Bulk sales increased by 17% from 679.5 KMT in 2013 to 792.2KMT in 2014. This resulted from the company's participation and winning of several contracts to supply the industry with refined products under the OTS agreement. Consequently, turnover generated by these activities increased by 21% from KShs. 58,652 million in 2013 to KShs. 70,732 million in 2014.

Net Sales per business channel (M Kshs)



Sales per business channel (MT)



FINANCIAL POSITION

The company maintained a very strong statement of financial position recording a growth of 6.8% in net assets from KShs. 15.38 billion in 2013 to KShs.16.43 billion in 2014.

The company continued to invest substantially at KShs. 1,447 million in the year (up by 8% from KShs. 1,340 million in 2013) in line with the strategy to develop the business and safety standards.

CONTRIBUTION TO THE KENYAN ECONOMY

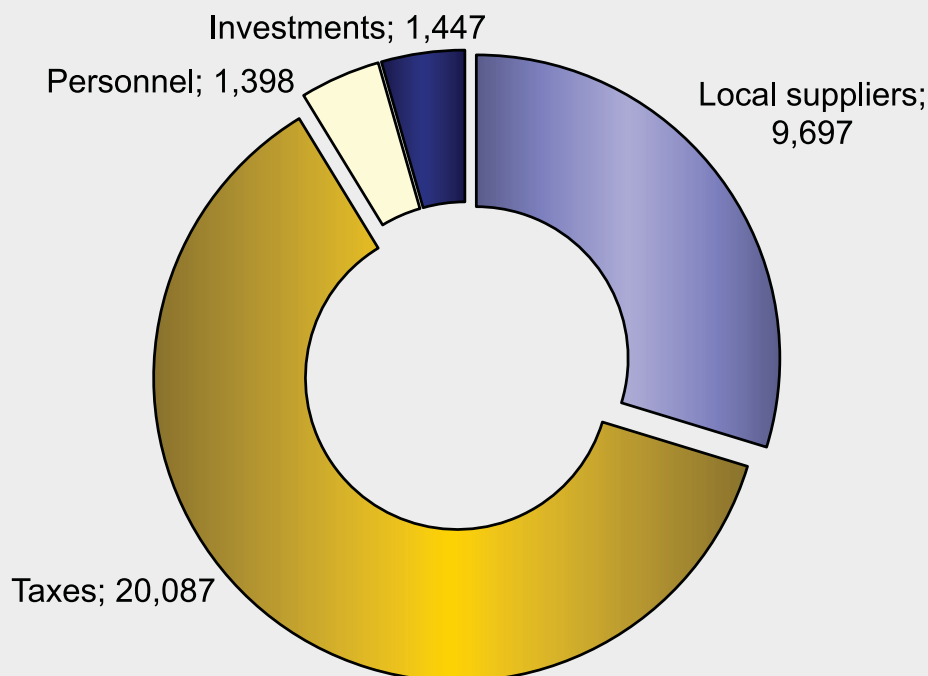
Total Kenya has remained a key player in the Kenyan oil industry and the economy as a whole. During the year under review, the company continued to make significant contribution to the Kenyan economy as it carried on with its business and corporate social responsibility activities. Total Kenya remained at the top on the list of the biggest tax payer in the country, having paid direct and indirect taxes of over KShs 20.1 billion (KShs 15.9 billion in 2013). The total financial impact on the economy in 2014 was KShs 32.6 billion (2013 KShs 26.3 billion) as shown in the graph below.

2015 Management Agenda:

Total Kenya continue to believe in good growth potential which presents opportunities for improvement on every aspect of our business. The Management is confident that the company has positioned itself to register improved performance in all the market segments and especially in non traditional channels. However, this performance will depend on continued economic growth, stability of world crude prices and concerted effort by the Government and other parties to address the unfavourable market conditions facing the oil industry such as the impact of price control, inefficiencies in the fuel supply chain, widespread illegal refilling of LPG cylinders and rising counterfeiting of lubricants.

In 2015 more than ever, we will remain committed to a reliable delivery of quality products and services in a safe, profitable and responsible manner, making Total Kenya the reference Oil Marketing Company in Kenya.

Contribution to the Kenyan Economy 2014 (MKShs)



MANAGEMENT REPORT

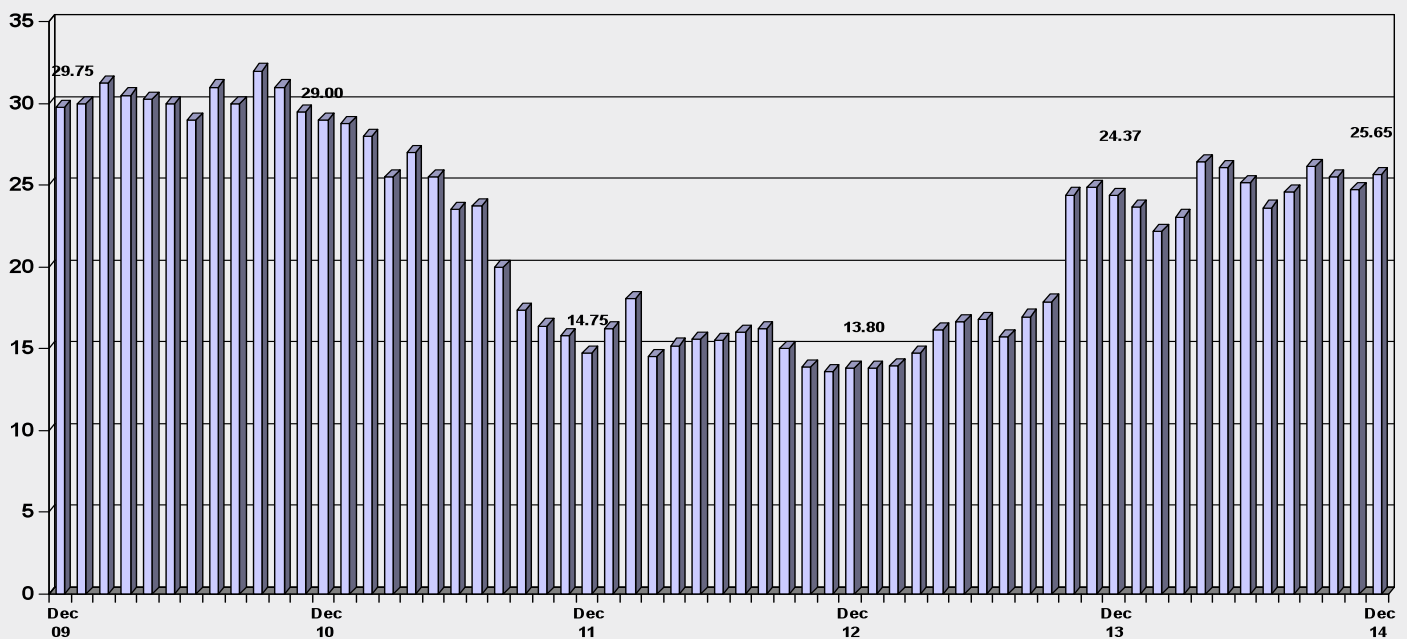
Therefore the management will:

- Focus on achieving the company's mission of delivering quality products and services to our customers responsibly and profitably in an innovative way.
- Ensure safety standards at all company installations.
- Continue to harness the opportunities in the market and enhance profitable growth.
- Maintain control over costs.
- Continue to attract, develop and retain best talent.
- Reinforce the brand through expansion, physical image, external recognition and community commitment.
- Continue to invest in renewable energy opportunities

SHARE PRICE EVOLUTION

In 2014, Total Kenya share price traded between KShs 20.90 and Kshs 31.20 per share.

Total Kenya Share Price (KSHS)
Monthly closing rates (Dec 09 to Dec 14)



SHAREHOLDERS ANALYSIS

TOP 10 SHAREHOLDERS

Rank	Name	Shares Held	Percentage
1	Total Outre-Mer	580,804,822	92.26
2	Total Africa Limited	10,732,950	1.70
3	Kimani, John Kibunga	3,315,801	0.53
4	Benjamin, Emmett Joseph	2,052,000	0.33
5	Shah, Rajesh Dharamshi	1,728,386	0.27
6	Bid Plantations Ltd	1,130,000	0.18
7	The Jubilee Insurance Company of Kenya Limited	566,736	0.09
8	Apa Insurance Limited	565,700	0.09
9	Cannon Assurance (Kenya) Limited	544,300	0.09
10	Standard Chartered Nominees	499,600	0.08
		601,940,295	95.62

SHARE DISTRIBUTION SCHEDULE

i) BY NUMBER OF SHARE RANGE

Range	No. of Members	Total No. of Shares	Percentage
1 - 500	2,223	502,722	0.0799
501 - 1,000	951	819,879	0.1302
1,001 - 5,000	1,527	3,935,384	0.6251
5,001 - 10,000	406	3,013,776	0.4787
10,001 - 50,000	353	7,386,575	1.1733
50,001 - 100,000	61	4,305,313	0.6839
100,001 - 500,000	37	8,138,114	1.2927
500,001 - 1,000,000	3	1,676,736	0.2664
1,000,001 - 999,999,999,999	6	599,763,959	95.2698
5,567		629,542,458	100.00

ii) BY CATEGORY OF SHAREHOLDER

No. of Members	Group	Total Quantity	Percentage
78	FOREIGN INVESTORS	592,942,641	94.186
5,066	**E.A.P.S. INDIVIDUALS	29,202,508	4.639
423	**E.A.P.S. INSTITUTIONS	7,397,309	1.175
5,567	TOTALS	629,542,458	100.000

**East Africa Partner States

REPORT OF THE INDEPENDENT AUDITOR

TO THE MEMBERS OF TOTAL KENYA LTD



REPORT ON THE FINANCIAL STATEMENTS

We have audited the financial statements of Total Kenya Limited set out on pages 29 to 69 which comprise the statement of financial position as at 31 December 2014, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and the notes, comprising a summary of significant accounting policies and other explanatory information.

Directors' responsibility for the financial statements

The company's directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements present fairly, in all material respects, the financial position of Total Kenya Limited as at 31 December 2014, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

REPORT ON OTHER LEGAL REQUIREMENTS

As required by the Kenyan Companies Act we report to you, based on our audit, that:

- i) we have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of our audit;
- ii) in our opinion, proper books of account have been kept by the company, so far as appears from our examination of those books; and,
- iii) the company's statement of financial position and statement of profit or loss and other comprehensive income are in agreement with the books of account.

The engagement partner responsible for the audit resulting in this independent auditor's report is Herbert Chiveli Wasike -P.1485.

Nairobi, Kenya
Wednesday, 1 April 2015

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE YEAR ENDED 31 DECEMBER 2014

	Notes	2014 KShs'000	2013 KShs'000
Gross sales		170,725,560	154,626,092
Indirect taxes and duties		(15,623,868)	(12,908,050)
Net sales	3	155,101,692	141,718,042
Cost of sales	4	(148,351,545)	(135,371,011)
Gross profit		6,750,147	6,347,031
Other income	5	487,693	456,621
Operating expenses	6	(4,548,854)	(4,323,842)
Finance income	7 (a)	8,541	7,153
Finance costs	7 (b)	(272,336)	(278,695)
Net foreign exchange loss	7 (c)	(149,186)	(123,751)
Profit before tax	8	2,276,005	2,084,517
Tax charge	9	(851,917)	(772,240)
Profit for the year		1,424,088	1,312,277
Other comprehensive income, net of tax		-	-
Total comprehensive income for the year		1,424,088	1,312,277
Earnings per share (basic and diluted) (KShs)	10	2.26	2.08

STATEMENT OF FINANCIAL POSITION

AS AT 31 DECEMBER 2014

		2014	2013
	Notes	KShs'000	KShs'000
ASSETS			
NON-CURRENT ASSETS			
Property, plant and equipment	12	8,619,679	8,358,986
Prepaid operating leases	13	708,176	713,782
Goodwill	14	416,679	416,679
Intangible assets	15	94,006	88,002
Deferred tax asset	16	463,123	369,452
		10,301,663	9,946,901
CURRENT ASSETS			
Inventories	17	11,159,064	14,953,214
Trade and other receivables	18	8,608,970	8,128,992
Amounts due from related companies	19 (i)	1,943,569	1,942,885
Cash and cash equivalents	25 (ii)	498,965	4,979,505
		22,210,568	30,004,596
Non-current assets classified as held for sale	20	29,569	32,668
		22,240,137	30,037,264
TOTAL ASSETS		32,541,800	39,984,165
EQUITY AND LIABILITIES			
EQUITY			
Share capital	21	9,974,771	9,974,771
Share premium	22	1,967,520	1,967,520
Retained earnings		4,483,132	3,436,769
		16,425,423	15,379,060
NON-CURRENT LIABILITIES			
Trade and other payables	23	1,192,167	1,117,028
CURRENT LIABILITIES			
Unclaimed dividends	11	6,748	4,955
Tax payable	9 (iii)	32,416	510,394
Trade and other payables	23	7,332,924	7,833,432
Amounts due to holding company	19 (iii)	194,100	12,612,844
Amounts due to related companies	19 (ii)	17,604	31,822
Short term borrowings	24	7,340,418	2,494,630
		14,924,210	23,488,077
TOTAL EQUITY AND LIABILITIES		32,541,800	39,984,165

The financial statements were approved and authorised for issue by the Board of Directors on 31 March 2015 and were signed on its behalf by:

Director

Director

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2014

	Share capital KShs'000	Share premium KShs'000	Retained earnings KShs'000	Total equity KShs'000
As at 1 January 2013	9,974,771	1,967,520	2,250,385	14,192,676
Dividends declared – 2012 (Note 11)	-	-	(125,893)	(125,893)
Profit for the year	-	-	1,312,277	1,312,277
Other comprehensive income	-	-	-	-
Total comprehensive income	-	-	1,312,277	1,312,277
As at 31 December 2013	9,974,771	1,967,520	3,436,769	15,379,060
As at 1 January 2014	9,974,771	1,967,520	3,436,769	15,379,060
Dividends declared – 2013 (Note 11)	-	-	(377,725)	(377,725)
Profit for the year	-	-	1,424,088	1,424,088
Other comprehensive income	-	-	-	-
Total comprehensive income	-	-	1,424,088	1,424,088
As at 31 December 2014	9,974,771	1,967,520	4,483,132	16,425,423

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 31 DECEMBER 2014

	Notes	2014 KShs'000	2013 KShs'000
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash (used in) / generated from operations	25 (i)	(5,659,873)	8,333,638
Tax paid	9 (iii)	(1,423,566)	(459,283)
Net cash (used in)/generated from operating activities		(7,083,439)	7,874,355
CASH FLOWS FROM INVESTING ACTIVITIES			
Purchase of property, plant and equipment	12	(1,314,189)	(1,178,110)
Purchase of prepaid operating leases	13	(111,736)	(123,260)
Purchase of intangible assets	15	(20,744)	(38,607)
Interest income on bank deposits	7 (a)	8,541	7,153
Proceeds on disposal of property, plant and equipment and assets held for sale		34,316	27,301
Net cash used in investing activities		(1,403,812)	(1,305,523)
CASH FLOWS FROM FINANCING ACTIVITIES			
Interest expense on borrowings	7 (b)	(272,336)	(278,695)
Dividends paid	11	(375,932)	(126,661)
Net cash used in financing activities		(648,268)	(405,356)
Net (decrease)/increase in cash and cash equivalents		(9,135,519)	6,163,476
Effect of exchange rate changes on cash and cash equivalents		(190,809)	(17,121)
Cash and cash equivalents as at 1 January		2,484,875	(3,661,480)
Cash and cash equivalents as at 31 December	25 (ii)	(6,841,453)	2,484,875

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2014

1. SIGNIFICANT ACCOUNTING POLICIES

a) Basis of preparation

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) and in the manner required by the Kenyan Companies Act. The measurement basis applied is the historical cost basis, except where otherwise stated in the accounting policies below. The financial statements are presented in Kenya Shillings rounded to the nearest thousand (KShs' 000).

The preparation of financial statements in conformity with IFRS requires the use of estimates and assumptions. It also requires directors to exercise judgment in the process of applying the company's accounting policies. Although these estimates are based on the directors' best knowledge of current events and actions, actual results may differ from those estimates. Accounting policy 2 below on 'significant accounting judgments and key sources of estimation uncertainty' highlights the areas that involve a higher level of judgement, or where the estimates or assumptions used are significant to the financial statements.

For purposes of reporting under the Kenyan Companies Act, the balance sheet in these financial statements is represented by the statement of financial position and the profit and loss account is represented by the statement of profit or loss and other comprehensive income.

b) New and amended standards, interpretations and improvements

The accounting policies adopted are consistent with those of the previous financial year, except for the following new and amended standards and interpretations effective as of 1 January 2014.

Investment Entities (Amendments to IFRS 10, IFRS 12 and IAS 27)

These amendments provide an exception to the consolidation requirement for entities that meet the definition of an investment entity under IFRS 10 Consolidated Financial Statements and must be applied retrospectively, subject to certain transition relief. The exception to consolidation requires investment entities to account for subsidiaries at fair value through profit or loss. These amendments have no impact on the company since it is not required to prepare consolidated financial statements.

Offsetting Financial Assets and Financial Liabilities - Amendments to IAS 32

These amendments clarify the meaning of 'currently has a legally enforceable right to set-off' and the criteria for non-simultaneous settlement mechanisms of clearing houses to qualify for offsetting and is applied retrospectively. These amendments have no impact

on the company, since it does not have any offsetting arrangements.

Novation of Derivatives and Continuation of Hedge Accounting – Amendments to IAS 39

These amendments provide relief from discontinuing hedge accounting when novation of a derivative designated as a hedging instrument meets certain criteria and retrospective application is required. These amendments have no impact on the company as the company has not novated any derivatives during the current or prior periods.

IFRIC 21 Levies

IFRIC 21 clarifies that an entity recognises a liability for a levy when the activity that triggers payment, as identified by the relevant legislation, occurs. For a levy that is triggered upon reaching a minimum threshold, the interpretation clarifies that no liability should be anticipated before the specified minimum threshold is reached. Retrospective application is required for IFRIC 21. This interpretation has no impact on the company as it has applied the recognition principles under IAS 37 Provisions, Contingent Liabilities and Contingent Assets consistent with the requirements of IFRIC 21 in prior years.

Annual Improvements 2010-2012 Cycle

In the 2010-2012 annual improvements cycle, the IASB issued seven amendments to six standards, which included an amendment to IFRS 13 Fair Value Measurement. The amendment to IFRS 13 is effective immediately and, thus, for periods beginning at 1 January 2014, and it clarifies in the Basis for Conclusions that short-term receivables and payables with no stated interest rates can be measured at invoice amounts when the effect of discounting is immaterial. This amendment to IFRS 13 has no impact on the company.

Annual Improvements 2011-2013 Cycle

In the 2011-2013 annual improvements cycle, the IASB issued four amendments to four standards, which included an amendment to IFRS 1 First-time Adoption of International Financial Reporting Standards. The amendment to IFRS 1 is effective immediately and, thus, for periods beginning at 1 January 2014, and clarifies in the Basis for Conclusions that an entity may choose to apply either a current standard or a new standard that is not yet mandatory, but permits early application, provided either standard is applied consistently throughout the periods presented in the entity's first IFRS financial statements. This amendment to IFRS 1 has no impact on the company, since the company is an existing IFRS preparer.

Standards issued but not effective

The standards and interpretations that are issued, but not yet effective, up to the date of issuance of the company's financial statements are disclosed below. The company intends to adopt these standards, if applicable, when they become effective.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

1. SIGNIFICANT ACCOUNTING POLICIES (continued)

b) New and amended standards, interpretations and improvements (continued)

Standards issued but not effective (continued)

IFRS 9 Financial Instruments

In July 2014, the IASB issued the final version of IFRS 9 Financial Instruments which reflects all phases of the financial instruments project and replaces IAS 39 Financial Instruments: Recognition and Measurement and all previous versions of IFRS 9. The standard introduces new requirements for classification and measurement, impairment, and hedge accounting. IFRS 9 is effective for annual periods beginning on or after 1 January 2018, with early application permitted. Retrospective application is required, but comparative information is not compulsory. Early application of previous versions of IFRS 9 (2009, 2010 and 2013) is permitted if the date of initial application is before 1 February 2015. The adoption of IFRS 9 will have an effect on the classification and measurement of the company's financial assets, but no impact on the classification and measurement of the company's financial liabilities.

IFRS 14 Regulatory Deferral Accounts

IFRS 14 is an optional standard that allows an entity, whose activities are subject to rate-regulation, to continue applying most of its existing accounting policies for regulatory deferral account balances upon its first-time adoption of IFRS. Entities that adopt IFRS 14 must present the regulatory deferral accounts as separate line items on the statement of financial position and present movements in these account balances as separate line items in the statement of profit or loss and other comprehensive income. The standard requires disclosures on the nature of, and risks associated with, the entity's rate-regulation and the effects of that rate-regulation on its financial statements. IFRS 14 is effective for annual periods beginning on or after 1 January 2016. Since the company is an existing IFRS preparer, this standard would not apply.

Amendments to IAS 19 Defined Benefit Plans: Employee Contributions

IAS 19 requires an entity to consider contributions from employees or third parties when accounting for defined benefit plans. Where the contributions are linked to service, they should be attributed to periods of service as a negative benefit. These amendments clarify that, if the amount of the contributions is independent of the number of years of service, an entity is permitted to recognise such contributions as a reduction in the service cost in the period in which the service is rendered, instead of allocating the contributions to the periods of service. This amendment is effective for annual periods beginning on or after 1 July 2014. It is not expected that this amendment would be relevant to the company, since none of the entities within the company has defined benefit plans with contributions from employees or third parties.

Annual improvements 2010-2012 Cycle

These improvements are effective from 1 July 2014 and are not expected to have a material impact on the company. They include:

IFRS 2 Share-based Payment

This improvement is applied prospectively and clarifies various issues relating to the definitions of performance and service conditions which are vesting conditions, including:

- A performance condition must contain a service condition
- A performance target must be met while the counterparty is rendering service
- A performance target may relate to the operations or activities of an entity, or to those of another entity in the same group
- A performance condition may be a market or non-market condition
- If the counterparty, regardless of the reason, ceases to provide service during the vesting period, the service condition is not satisfied

IFRS 3 Business Combinations

The amendment is applied prospectively and clarifies that all contingent consideration arrangements classified as liabilities (or assets) arising from a business combination should be subsequently measured at fair value through profit or loss whether or not they fall within the scope of IFRS 9 (or IAS 39, as applicable).

IFRS 8 Operating Segments

The amendments are applied retrospectively and clarifies that:

- An entity must disclose the judgements made by management in applying the aggregation criteria in paragraph 12 of IFRS 8, including a brief description of operating segments that have been aggregated and the economic characteristics (e.g., sales and gross margins) used to assess whether the segments are 'similar'.
- The reconciliation of segment assets to total assets is only required to be disclosed if the reconciliation is reported to the chief operating decision maker, similar to the required disclosure for segment liabilities.

IAS 16 Property, Plant and Equipment and IAS 38 Intangible Assets

The amendment is applied retrospectively and clarifies in IAS 16 and IAS 38 that the asset may be revalued by reference to observable data on either the gross or the net carrying amount. In addition, the accumulated depreciation or amortisation is the difference between the gross and carrying amounts of the asset.

IAS 24 Related Party Disclosures

The amendment is applied retrospectively and clarifies that a management entity (an entity that provides key management personnel services) is a related party

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

1. SIGNIFICANT ACCOUNTING POLICIES (continued)

b) New and amended standards, interpretations and improvements (continued)

Annual improvements 2010-2012 Cycle (continued)

IAS 24 Related Party Disclosures (continued)

subject to the related party disclosures. In addition, an entity that uses a management entity is required to disclose the expenses incurred for management services.

Annual improvements 2011-2013 Cycle

These improvements are effective from 1 July 2014 and are not expected to have a material impact on the company. They include:

IFRS 3 Business Combinations

The amendment is applied prospectively and clarifies for the scope exceptions within IFRS 3 that:

- Joint arrangements, not just joint ventures, are outside the scope of IFRS 3
- This scope exception applies only to the accounting in the financial statements of the joint arrangement itself

IFRS 13 Fair Value Measurement

The amendment is applied prospectively and clarifies that the portfolio exception in IFRS 13 can be applied not only to financial assets and financial liabilities, but also to other contracts within the scope of IFRS 9 (or IAS 39, as applicable).

IAS 40 Investment Property

The description of ancillary services in IAS 40 differentiates between investment property and owner-occupied property (i.e., property, plant and equipment). The amendment is applied prospectively and clarifies that IFRS 3, and not the description of ancillary services in IAS 40, is used to determine if the transaction is the purchase of an asset or business combination.

IFRS 15 Revenue from Contracts with Customers

IFRS 15 was issued in May 2014 and establishes a new five-step model that will apply to revenue arising from contracts with customers. Under IFRS 15 revenue is recognised at an amount that reflects the consideration to which an entity expects to be entitled in exchange for transferring goods or services to a customer.

The principles in IFRS 15 provide a more structured approach to measuring and recognising revenue.

The new revenue standard is applicable to all entities and will supersede all current revenue recognition requirements under IFRS. Either a full or modified retrospective application is required for annual periods beginning on or after 1 January 2017 with early adoption permitted. The company is currently assessing the

impact of IFRS 15 and plans to adopt the new standard on the required effective date.

Amendments to IFRS 11 Joint Arrangements: Accounting for Acquisitions of Interests

The amendments to IFRS 11 require that a joint operator accounting for the acquisition of an interest in a joint operation, in which the activity of the joint operation constitutes a business must apply the relevant IFRS 3 principles for business combinations accounting. The amendments also clarify that a previously held interest in a joint operation is not remeasured on the acquisition of an additional interest in the same joint operation while joint control is retained. In addition, a scope exclusion has been added to IFRS 11 to specify that the amendments do not apply when the parties sharing joint control, including the reporting entity, are under common control of the same ultimate controlling party. The amendments apply to both the acquisition of the initial interest in a joint operation and the acquisition of any additional interests in the same joint operation and are prospectively effective for annual periods beginning on or after 1 January 2016, with early adoption permitted. These amendments are not expected to have any impact to the company.

Amendments to IAS 16 and IAS 38: Clarification of Acceptable Methods of Depreciation and Amortisation

The amendments clarify the principle in IAS 16 and IAS 38 that revenue reflects a pattern of economic benefits that are generated from operating a business (of which the asset is part) rather than the economic benefits that are consumed through use of the asset. As a result, a revenue-based method cannot be used to depreciate property, plant and equipment and may only be used in very limited circumstances to amortise intangible assets.

The amendments are effective prospectively for annual periods beginning on or after 1 January 2016, with early adoption permitted. These amendments are not expected to have any impact to the company given that the company has not used a revenue-based method to depreciate its non-current assets.

Amendments to IAS 16 and IAS 41 Agriculture: Bearer Plants

The amendments change the accounting requirements for biological assets that meet the definition of bearer plants. Under the amendments, biological assets that meet the definition of bearer plants will no longer be within the scope of IAS 41. Instead, IAS 16 will apply. After initial recognition, bearer plants will be measured under IAS 16 at accumulated cost (before maturity) and using either the cost model or revaluation model (after maturity). The amendments also require that produce that grows on bearer plants will remain in the scope of IAS 41 measured at fair value less costs to sell. For government grants related to bearer plants, IAS 20

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

1. SIGNIFICANT ACCOUNTING POLICIES (continued)

b) New and amended standards, interpretations and improvements (continued)

Amendments to IAS 16 and IAS 41 Agriculture: Bearer Plants (continued)

Accounting for Government Grants and Disclosure of Government Assistance will apply. The amendments are retrospectively effective for annual periods beginning on or after 1 January 2016, with early adoption permitted. These amendments are not expected to have any impact to the company as the company does not have any bearer plants.

Amendments to IAS 27: Equity Method in Separate Financial Statements

The amendments will allow entities to use the equity method to account for investments in subsidiaries, joint ventures and associates in their separate financial statements. Entities already applying IFRS and electing to change to the equity method in its separate financial statements will have to apply that change retrospectively. For first-time adopters of IFRS electing to use the equity method in its separate financial statements, they will be required to apply this method from the date of transition to IFRS. The amendments are effective for annual periods beginning on or after 1 January 2016, with early adoption permitted. These amendments will not have any impact on the company's financial statements.

(c) Revenue recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the company and the revenue can be reliably measured, regardless of when the payment is being made. Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duty. The company assesses its revenue arrangements against specific criteria to determine if it is acting as principal or agent. The company has concluded that it is acting as a principal in all of its revenue arrangements. The specific recognition criteria described below must also be met before revenue is recognised.

Sale of goods

Revenue from the sale of goods is recognised when the significant risks and rewards of ownership of the goods have passed to the buyer, usually upon delivery of products and customer acceptance and is stated net of value added tax, returns and rebates. The sales are stated net of value added tax and discounts.

Interest income

For all financial instruments measured at amortised cost and interest bearing financial assets, interest income is recorded using the effective interest rate (EIR). EIR is the rate that exactly discounts the estimated future

cash payments or receipts over the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset or liability. Interest income is included in finance income in profit or loss.

Rental income

Rental income is recognised when the company's right to receive the rent payment is established. The company sublets some of its station shops to dealers.

Commission income

Commission income arises from charges to stations for business provided through bon voyage customers. Commission income is recognised when the company's right to receive the commission payment is established.

All other revenue is recognised at the time goods are supplied or services are provided.

(d) Business combinations

Acquisitions of businesses are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred measured at the acquisition-date fair values and the amount of any non-controlling interest in the acquiree. Acquisition-related costs are generally recognised in profit or loss as incurred.

At the acquisition date, the identifiable assets acquired and the liabilities assumed are recognised at their fair value at the acquisition date, except that:

- deferred tax assets or liabilities and liabilities or assets related to employee benefit arrangements are recognised and measured in accordance with IAS 12 Income Taxes and IAS 19 Employee Benefits respectively;
- liabilities or equity instruments related to share-based payment arrangements of the acquiree or share-based payment arrangements of the company entered into to replace share-based payment arrangements of the acquiree are measured in accordance with IFRS 2 Share-based Payment at the acquisition date; and,
- assets (or disposal groups) that are classified as held for sale in accordance with IFRS 5 Non-current Assets Held for Sale and Discontinued Operations are measured in accordance with that Standard.

Goodwill is measured as the excess of the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree, and the fair value of the acquirer's previously held equity interest in the acquiree (if any) over the net of the acquisition-date amounts of the identifiable assets acquired and the liabilities assumed.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

1. SIGNIFICANT ACCOUNTING POLICIES (continued)

(d) Business combinations (continued)

If, after reassessment, the net of the acquisition-date amounts of the identifiable assets acquired and liabilities assumed exceeds the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree and the fair value of the acquirer's previously held interest in the acquiree (if any), the excess is recognised immediately in profit or loss as a bargain purchase gain.

Non-controlling interests that are present ownership interests and entitle their holders to a proportionate share of the entity's net assets in the event of liquidation may be initially measured either at fair value or at the non-controlling interests' proportionate share of the recognised amounts of the acquiree's identifiable net assets. The choice of measurement basis is made on a transaction-by-transaction basis. Other types of non-controlling interests are measured at fair value or, when applicable, on the basis specified in another IFRS.

When the consideration transferred by the company in a business combination includes assets or liabilities resulting from a contingent consideration arrangement, the contingent consideration is measured at its acquisition-date fair value and included as part of the consideration transferred in a business combination. Changes in the fair value of the contingent consideration that qualify as measurement period adjustments are adjusted retrospectively, with corresponding adjustments against goodwill. Measurement period adjustments are adjustments that arise from additional information obtained during the 'measurement period' (which cannot exceed one year from the acquisition date) about facts and circumstances that existed at the acquisition date.

The subsequent accounting for changes in the fair value of the contingent consideration that do not qualify as measurement period adjustments depends on how the contingent consideration is classified. Contingent consideration that is classified as equity is not remeasured at subsequent reporting dates and its subsequent settlement is accounted for within equity. Contingent consideration that is classified as an asset or a liability is remeasured at subsequent reporting dates in accordance with IAS 39, or IAS 37 Provisions, Contingent Liabilities and Contingent Assets, as appropriate, with the corresponding gain or loss being recognised in profit or loss.

When a business combination is achieved in stages, the company's previously held equity interest in the acquiree is remeasured to fair value at the acquisition date (i.e. the date when the company obtains control) and the resulting gain or loss, if any, is recognised in profit or loss. Amounts arising from interests in the acquiree prior to the acquisition date that have previously been recognised in other comprehensive income are

reclassified to profit or loss where such treatment would be appropriate if that interest were disposed of.

If the initial accounting for a business combination is incomplete by the end of the reporting period in which the combination occurs, the company reports provisional amounts for the items for which the accounting is incomplete. Those provisional amounts are adjusted during the measurement period (see above), or additional assets or liabilities are recognised, to reflect new information obtained about facts and circumstances that existed at the acquisition date that, if known, would have affected the amounts recognised at that date.

(e) Goodwill

Goodwill arising on an acquisition of a business is carried at cost as established at the date of acquisition of the business less accumulated impairment losses, if any.

For the purposes of impairment testing, goodwill is allocated to each of the company's cash-generating units (or groups of cash-generating units) that is expected to benefit from the synergies of the combination.

A cash-generating unit (CGU) to which goodwill has been allocated is tested for impairment annually, or more frequently when there is indication that the unit may be impaired. If the recoverable amount of the cash-generating unit is less than its carrying amount, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro rata based on the carrying amount of each asset in the unit.

Any impairment loss for goodwill is recognised directly in profit or loss. An impairment loss recognised for goodwill is not reversed in subsequent periods.

On disposal of the relevant cash-generating unit, the attributable amount of goodwill is included in the determination of the gain or loss on disposal.

(f) Leasing

(i) Determination

The determination of whether an arrangement is a lease or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfillment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

(ii) Company as a lessee

Leases which do not transfer to the company substantially all the risk and benefits incidental to ownership of the leased items are operating leases. Operating lease payments are recognised as an expense in profit or loss on a straight line basis over the lease term. Contingent rental payable are recognised as expenses in the period in which they are incurred.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

1. SIGNIFICANT ACCOUNTING POLICIES (continued)

(f) Leasing (continued)

(ii) Company as a lessee (continued)

Lease incentives received are recognised as an integral part of the total lease expense, over the term of the lease. When an operating lease is terminated before the lease period has expired, any payment required to be made to the lessor by way of penalty is recognised as an expense in the period in which termination takes place.

Payments to acquire leasehold interests in land are treated as prepaid operating lease rentals and amortised over the period of the lease and recognised in profit or loss under operating expenses.

(iii) Company as a lessor

Leases in which the company does not transfer substantially all the risks and benefits of ownership of an asset are classified as operating leases. Initial direct costs incurred in negotiating an operating lease are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income.

(g) Property, plant and equipment

Property, plant and equipment is stated at cost, net of accumulated depreciation and accumulated impairment losses, if any. Such cost includes the cost of replacing part of the property, plant and equipment and borrowing costs for long-term construction projects if the recognition criteria are met. When significant parts of property, plant and equipment are required to be replaced at intervals, the Company recognises such parts as individual assets with specific useful lives and depreciates them accordingly. Likewise, when a major inspection is performed, its cost is recognised in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognised in profit or loss as incurred.

Depreciation is calculated to write off the cost of property, plant and equipment in equal annual installments over their estimated useful lives.

The annual rates in use are:

Freehold land	Nil
Buildings	2% - 15%
Property, plant and machinery	5% - 25%
Furniture, fittings and office equipment	10% - 33.3%

The company reviews the estimated useful lives, the methods of depreciation and residual values of property,

plant and equipment at the end of each reporting period and adjusts them prospectively, if appropriate. During the financial year, no changes to the useful lives and residual values were identified by the Directors.

An item of property, plant and equipment and any significant part initially recognised is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the profit or loss when the asset is derecognised.

(h) Intangible assets acquired separately and in business combinations

Intangible assets acquired separately are measured on initial recognition at cost. Subsequently, they are reported at cost less accumulated amortisation and accumulated impairment losses.

Intangible assets acquired in a business combination and recognised separately from goodwill are initially recognised at their fair value at the acquisition date (which is regarded as their cost).

Subsequent to initial recognition, intangible assets acquired in a business combination are reported at cost less accumulated amortisation and accumulated impairment losses, on the same basis as intangible assets that are acquired separately.

Where a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

The useful lives of intangible assets are assessed as either finite or indefinite.

Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life is reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are considered to modify the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in profit or loss in the expense category that is consistent with the function of the intangible assets.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

1. SIGNIFICANT ACCOUNTING POLICIES (continued)

(h) Intangible assets acquired separately and in business combinations (continued)

Intangible assets with indefinite useful lives and intangible assets not yet available for use are not amortised but are tested for impairment at least annually, and whenever there is an indication that the asset may be impaired. The company did not have any intangible assets with indefinite useful lives.

Derecognition of intangible assets

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from use or disposal.

Gains or losses arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, are recognised in profit or loss when the asset is derecognised.

The impairment policy on non-financial assets is discussed under note 1 (r).

(i) Non-current assets held for sale

Non-current assets and disposal groups are classified as held for sale if their carrying amount will be recovered principally through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the non-current asset (or disposal group) is available for immediate sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification.

When the company is committed to a sale plan involving loss of control of a subsidiary, all of the assets and liabilities of that subsidiary are classified as held for sale when the criteria described above are met, regardless of whether the company will retain a non-controlling interest in its former subsidiary after the sale.

Non-current assets (and disposal groups) classified as held for sale are measured at the lower of their previous carrying amount and fair value less costs to sell. Property, plant and equipment and intangible assets are not depreciated or amortised once classified as held for sale.

Assets and liabilities classified as held for sale are presented separately as current items in the statement of financial position.

Impairment of non-current assets held for sale

The company assesses at each reporting date whether there is objective evidence that non-current assets held for sale are impaired. Non-current assets held for sale are deemed to be impaired if fair value less costs to sell is lower than carrying amounts.

If there is objective evidence that an impairment loss has been incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the fair value less costs to sell, and is recognised in profit or loss.

The company recognises a gain in the profit or loss for any subsequent increase in fair value less costs to sell of an asset, but not in excess of the cumulative impairment loss that has been previously recognised. The company also recognises a gain or loss not previously recognised by the date of the sale of a non-current asset at the date of derecognition.

(j) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined on a weighted average cost basis and comprises purchase price and other costs incurred to bring the inventories to their present location and condition, together with refining costs as appropriate. For products refined locally, costs are allocated over the refinery output in proportion to the appropriate world market prices. Net realisable value is the estimate of the selling price in the ordinary course of business less the estimated costs of completion and the estimated costs to make the sale. Specific provision is made for obsolete, slow moving and defective inventories.

(k) Financial instruments

Financial assets and financial liabilities are recognised when a company becomes a party to the contractual provisions of the instrument.

Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition.

Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit or loss are recognised immediately in profit or loss.

Financial assets

Financial assets are classified into the following specified categories: financial assets 'at fair value through profit or loss' (FVTPL), 'held-to-maturity' investments, 'available-for-sale' (AFS) financial assets and 'loans and receivables'. The classification depends on the nature and purpose of the financial assets and is determined at the time of initial recognition. All regular way purchases or sales of financial assets are recognised and derecognised on a trade date basis. Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the marketplace.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

1. SIGNIFICANT ACCOUNTING POLICIES (continued)

(k) Financial instruments (continued)

Financial assets (continued)

The company's financial assets include bank and cash balances, trade and other receivables and amounts due from related companies.

Trade receivables and amounts due from related companies

Trade receivables and amounts due from related companies are classified as 'loans and receivables'. After initial measurement, such financial assets are subsequently measured at amortised cost using the effective interest rate (EIR) method, less impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included in finance income in profit or loss. The losses arising from impairment are recognised in profit or loss in operating expenses.

Cash and cash equivalents

Cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which are within three months of maturity when acquired, less advances from the banks and related parties repayable within three months from the date of advance.

Cash on hand and in banks and short term deposits which are held to maturity are carried at cost plus interest earned but not yet received at the reporting date.

For the purpose of the statement of cash flows, bank and cash balances are as defined above, net of outstanding overdrafts from banks and related parties.

Impairment of financial assets

The company assesses at each reporting date whether there is objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if there is objective evidence of impairment as a result of one or more events that has occurred since the initial recognition of the asset (an incurred loss event) and that loss event has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated.

Evidence of impairment may include indications that the debtors or a group of debtors is experiencing significant financial difficulty, default or delinquency in interest or principal payments, the probability that they will enter bankruptcy or other financial reorganisation and observable data indicating that there is a measurable decrease in the estimated future cash flows, such as changes in arrears or economic conditions that correlate with defaults.

For financial assets carried at amortised cost, the company first assesses whether impairment exists individually for financial assets that are individually significant, or collectively for financial assets that are not individually significant. If the company determines that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognised are not included in a collective assessment of impairment.

If there is objective evidence that an impairment loss has been incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not yet been incurred). The present value of the estimated future cash flows is discounted at the financial asset's original effective interest rate. If a loan has a variable interest rate, the discount rate for measuring any impairment loss is the current effective interest rate.

The carrying amount of the asset is reduced through the use of an allowance account and the loss is recognized in profit or loss.

If, in a subsequent year, the amount of the estimated impairment loss increases or decreases because of an event occurring after the impairment was recognised, the previously recognised impairment loss is increased or reduced by adjusting the allowance account. If a write-off is later recovered, the recovery is credited to finance costs in profit or loss.

Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when the rights to receive cash flows from the asset have expired, or the company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a pass-through arrangement; and either (a) the company has transferred substantially all the risks and rewards of the asset, or (b) the company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset. When the company has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if and to what extent it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the company continues to recognise the transferred asset to the extent of the company's continuing involvement. In that case, the company also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the company has retained.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

1. SIGNIFICANT ACCOUNTING POLICIES (continued)

(k) Financial instruments (continued)

Financial assets (continued)

Derecognition (continued)

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the company could be required to repay.

Financial liabilities and equity instruments

Classification as debt or equity

Debt and equity instruments issued by a company are classified as either financial liabilities or as equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument.

Equity instruments

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the company are recognised at the proceeds received, net of direct issue costs. The company's equity instruments include redeemable preference shares.

Repurchase of the company's own equity instruments is recognised and deducted directly in equity. No gain or loss is recognised in profit or loss on the purchase, sale, issue or cancellation of the company's own equity instruments.

Financial liabilities

Financial liabilities are classified as either financial liabilities 'at FVTPL' or 'other financial liabilities'.

The company's financial liabilities include trade and other payables, loans and borrowings and amounts due to holding company and related companies.

Other financial liabilities

Other financial liabilities (including borrowings) are recognised initially at fair value, and subsequently measured at amortised cost using the effective interest method.

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial liability, or (where appropriate) a shorter period, to the net carrying amount on initial recognition.

Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process described above.

A financial liability is derecognised when the obligation under the liability is discharged or cancelled, or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in profit or loss.

Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the consolidated statement of financial position if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

(l) Foreign currencies

In preparing the financial statements of the company, transactions in currencies other than Kenyan shillings, the entity's functional currency, i.e. foreign currencies are recognised at the rates of exchange prevailing at the dates of the transactions. At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing at the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Exchange differences on monetary items are recognised in profit or loss in the period in which they arise except for exchange differences on foreign currency borrowings relating to assets under construction for future productive use, which are included in the cost of those assets when they are regarded as an adjustment to interest costs on those foreign currency borrowings.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined. The gain or loss arising on translation of non-monetary items measured at fair value is treated in line with the recognition of gain or loss on change in fair value of the item (i.e., translation differences on items whose fair value gain or loss is recognised in other comprehensive income or profit or loss are also recognised in other comprehensive income or profit or loss, respectively).

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

1. SIGNIFICANT ACCOUNTING POLICIES (continued)

(m) Tax

Income tax expense represents the sum of the tax currently payable and deferred tax.

(i) Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from profit as reported in the statement of comprehensive income because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible. The company's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

Current tax relating to items recognised outside profit or loss is recognised outside profit or loss. Current tax items are recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity.

(ii) Deferred tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. Such deferred tax assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

Deferred tax liabilities are recognised for taxable temporary differences associated with investments in subsidiaries and associates, and interests in joint ventures, except where the company is able to control the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future.

Deferred tax assets arising from deductible temporary differences associated with such investments and interests are only recognised to the extent that it is probable that there will be sufficient taxable profits against which to utilise the benefits of the temporary differences and they are expected to reverse in the foreseeable future.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset

to be recovered. Unrecognised deferred tax assets are reassessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the company expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax relating to items recognised outside profit or loss is recognised outside profit or loss. Deferred tax items are recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

Value added tax

Expenses and assets are recognised net of the amount of sales tax, except:

- i) When the sales tax incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case the value added tax is recognised as part of the cost of acquisition of the asset or as part of the expense item, as applicable, and
- ii) When receivables and payables are stated with the amount of value added tax included

The net amount of value added tax recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the statement of financial position.

(n) Employee entitlements

i) Retirement benefit costs

The company operates two defined contribution pension plans: one registered locally and the other registered off-shore for its employees. The assets of the plans are held in separate trustee administered funds. The plans are funded by contributions from both the employees and the company. Benefits are paid to retiring staff in accordance with the rules of the respective plans. Contributions to defined contribution retirement benefit plans are recognised as an expense when employees have rendered service entitling them to the contributions.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

1. SIGNIFICANT ACCOUNTING POLICIES (continued)

(n) Employee entitlements (continued)

i) Retirement benefit costs (continued)

The company also contributes to a statutory defined contribution pension scheme, the National Social Security Fund (NSSF). Contributions are determined by local statute.

Contributions by the company in respect of retirement benefit costs are charged to profit or loss in the year to which they relate.

ii) Leave

Employee entitlements to annual leave are recognised when they expected to be paid to employees. A provision is made for the estimated liability for annual leave at the reporting date.

iii) Bonus

An accrual is recognised for the amount expected to be paid under short-term cash bonus if the company has a present legal and constructive obligation to pay this amount as a result of past service provided by the employee, the obligation can be estimated reliably and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation.

(o) Dividends

Dividends on ordinary and redeemable preference shares are charged to equity in the period in which they are declared.

(p) Earnings per share

Earnings per share are calculated by dividing the profit/ (loss) after tax by the weighted average number of ordinary shares and redeemable preference shares outstanding during the year.

(q) Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalised as part of the cost of the asset.

All other borrowing costs are expensed in the period in which they occur. Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds.

(r) Impairment of non-financial assets

At each reporting date, the company reviews the carrying amounts of its tangible and intangible assets

to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. An asset's recoverable amount is the higher of an asset's or cash-generating unit's (CGU) fair value less costs of disposal and its value in use.

Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash generating unit to which the asset belongs.

When the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded companies or other available fair value indicators.

Impairment losses are recognised as an expense immediately.

An assessment is made at each reporting date to determine whether there is an indication that previously recognised impairment losses no longer exist or have decreased. If such indication exists, the company estimates the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in profit or loss.

Goodwill

Goodwill is tested for impairment annually as at 31 December and when circumstances indicate that the carrying value may be impaired. Impairment is determined for goodwill by assessing the recoverable amount of each CGU (or group of CGUs) to which the goodwill relates. When the recoverable amount of the CGU is less than its carrying amount, an impairment loss is recognised. Impairment losses relating to goodwill cannot be reversed in future periods. Further details are contained in note 2 (b).

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

1. SIGNIFICANT ACCOUNTING POLICIES (continued)

(s) Provisions

Provisions are recognised when the company has a present obligation (legal or constructive) as a result of a past event, it is probable that the company will be required to settle the obligation, and a reliable estimate can be made of the amount of obligation.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the reporting date taking into account the risks and uncertainties surrounding the obligation.

2. SIGNIFICANT ACCOUNTING JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

In the process of applying the company's accounting policies, the Directors have made estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities within the next financial year.

Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods, if the revision affects both current and future periods.

The key areas of judgement and sources of estimation uncertainty are as set out below:

(a) Critical judgements in applying accounting policies

There are no critical judgements, apart from those involving estimations (see b below), that the directors have made in the process of applying the entity's accounting policies and that have the most significant effect on the amounts recognised in financial statements.

(b) Key sources of estimation uncertainty

The following are the key assumptions concerning the future, and other key sources of estimation uncertainty at the end of the reporting period, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year.

Impairment of goodwill

Determining whether goodwill is impaired requires an estimation of the value in use of the cash-generating units to which goodwill has been allocated. The value in use calculation requires the directors to estimate the future cash flows expected to arise from the cash-generating unit and a suitable discount rate in order to calculate present value. The carrying amount of goodwill at 31 December 2014 was KShs 416,679,000 (2013 – KShs 416,679,000) and no impairment loss was recognised during the year.

Useful lives of property, plant and equipment

The company reviews the estimated useful lives and residual values of property, plant and equipment at the end of each reporting period. In reviewing the useful lives of property, plant and equipment, the company considers the remaining period over which an asset is expected to be available for use. Management also looks at the number of production or similar units expected to be obtained from the property, plant and equipment. Judgment and assumptions are required in estimating the remaining useful period and estimates of the number of production or similar units expected to be obtained from the property, plant and equipment. Further details on property, plant and equipment are given in note 1 (g) and 12.

Contingent liabilities

As disclosed in Note 26 to these financial statements, the company is exposed to various contingent liabilities in the normal course of business. The directors evaluate the status of these exposures on a regular basis to assess the probability of the company incurring related liabilities. However, provisions are only made in the financial statements where, based on the directors' evaluation, a present obligation has been established.

Allowance for bad and doubtful debts

The company reviews its trade receivables at each reporting date to assess whether an allowance for bad and doubtful should be recorded in profit or loss. In particular, judgement by management is required in the estimation of the amount and timing of future cash flows when determining the level of allowance required. Such estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the allowance. See Note 18 for further details.

Impairment of non-financial assets

At each reporting date, the company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Impairment exists when the carrying amount of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use.

The fair value less costs of disposal calculation is based on available data from binding sales transactions, conducted at arm's length, for similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the company

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

2. SIGNIFICANT ACCOUNTING JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY (continued)

(b) Key sources of estimation uncertainty (continued)

Impairment of non-financial assets (continued)

is not yet committed to or significant future investments that will enhance the asset's performance of the CGU being tested. The recoverable amount is most sensitive to the discount rate used for the discounted cash flow model as well as the expected future cash-inflows and the growth rate used for extrapolation purposes.

In assessing whether there is any indication that the tangible and intangible assets may be impaired, the company considers the following indications:

- a) there are observable indications that the asset's value has declined during the period significantly more than would be expected as a result of the passage of time or normal use.
- b) significant changes with an adverse effect on the entity have taken place during the period, or will take place in the near future, in the technological, market, economic or legal environment in which the entity operates or in the market to which an asset is dedicated.
- c) market interest rates or other market rates of return on investments have increased during the period, and those increases are likely to affect the discount rate used in calculating an asset's value in use and decrease the asset's recoverable amount materially.
- d) the carrying amount of the net assets of the entity is more than its market capitalisation.
- e) evidence is available of obsolescence or physical damage of an asset.

- f) significant changes with an adverse effect on the entity have taken place during the period, or are expected to take place in the near future, in the extent to which, or manner in which, an asset is used or is expected to be used. These changes include the asset becoming idle, plans to discontinue or restructure the operation to which an asset belongs, plans to dispose of an asset before the previously expected date, and reassessing the useful life of an asset as finite rather than indefinite
- g) evidence is available from internal reporting that indicates that the economic performance of an asset is, or will be, worse than expected.

Further details on property, plant and equipment are given in Note 12, goodwill in Note 14, intangible assets in Note 15 and inventories in Note 17.

Income taxes

The company is subject to income taxes in Kenya. Significant judgement is required in determining the company's provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. The company recognises liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due. Where the final outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provision in the period in which such determination is made.

Further details on income taxes are disclosed in Note 9 and 16.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

3. NET SALES ANALYSIS

The major business of the company is the sale of petroleum products, with other income comprising less than 5% of the total income. Net sales by business channel are shown below:-

(i) Business channels

	2014 KShs'000	2013 KShs'000
General trade	22,701,062	24,432,895
Network	44,317,653	41,187,991
Aviation	13,427,612	17,444,570
Export and bulk	74,655,365	58,652,586
Total net sales	155,101,692	141,718,042

(ii) Geographical analysis

Local sales	146,246,601	134,912,064
Export sales	8,855,091	6,805,978
Total net sales	155,101,692	141,718,042

4. COST OF SALES

Product purchases	142,590,601	130,234,123
Other variable costs	5,760,944	5,136,888
	148,351,545	135,371,011

5. OTHER INCOME

Rental income	287,311	226,303
Commission income	86,989	130,320
Gain on disposal of property, plant and equipment	23,277	5,783
Other income*	2,562	8,970
Doubtful debts write back (Note 18)	87,554	85,245
	487,693	456,621

*Other income relates to storage fee income on joint storage facilities with other oil marketers, as well as management fees where joint facilities with other oil marketers are run by the company.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

6. OPERATING EXPENSES

	2014 KShs'000	2013 KShs'000
Directors' emoluments – fees	1,600	1,600
- other emoluments	119,360	115,571
Payroll and staff costs[Note 6 (a)]	1,279,158	1,182,564
Depreciation on property, plant and equipment (Note 12)	1,045,556	965,644
Amortisation of prepaid operating leases (Note 13)	117,342	90,204
Amortisation of intangible assets (Note 15)	14,740	12,463
Repairs and maintenance	489,001	496,859
Technical assistance [Note 19 (vi)]	342,761	303,127
Utilities	242,147	216,850
Operating lease rentals	144,930	165,063
Other expenses	166,395	240,157
Legal and other professional fees	101,072	82,259
Advertising and promotion	212,252	201,583
Increase in doubtful debt provision (Note 18)	88,917	81,467
Travelling	107,445	102,120
Insurance	70,109	60,531
Auditor's remuneration	6,069	5,780
	4,548,854	4,323,842

6 (a) PAYROLL AND STAFF COSTS

Wages and salaries	896,924	804,424
Pension costs – defined contribution plan and NSSF	104,237	96,897
Staff medical costs	30,411	28,076
Staff training costs	18,196	22,434
Provision for accrued leave	8,443	3,200
Staff motor vehicle, mileage and other costs	220,947	227,533
Total personnel expenses	1,279,158	1,182,564
Average number of employees (permanent staff)	378	376

7. (a) FINANCE INCOME

Interest income on bank deposits	8,541	7,153
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(b) FINANCE COSTS

Interest expense on borrowings	272,336	278,695
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(c) NET FOREIGN EXCHANGE LOSS

Realised foreign exchange loss	153,363	149,968
Unrealised foreign exchange gain	(4,177)	(26,217)
Net foreign exchange loss	149,186	123,751

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

8. PROFIT BEFORE TAX

	2014 KShs'000	2013 KShs'000
The profit before tax is arrived at after charging		
Staff costs [Note 6 (a)]	1,279,158	1,182,564
Depreciation on property, plant and equipment (Note 12)	1,045,556	965,644
Amortisation of prepaid operating leases (Note 13)	117,342	90,204
Amortisation of intangible assets (Note 15)	14,740	12,463
Directors' emoluments (Note 6):		
- Fees	1,600	1,600
- Other emoluments	119,360	115,571
Auditors' remuneration (Note 6)	6,069	5,780
And after crediting:		
Gain on disposal of property, plant and equipment	23,277	5,783
9. TAX		
(i) Tax charge		
Current tax based on adjusted profit for the year at 30%	949,700	836,848
Over provision in the previous year	(4,112)	-
Current deferred tax credit [Note 16 (ii)]	(93,671)	(64,608)
	851,917	772,240
(ii) Reconciliation of tax charge to expected tax based on accounting profit		
Accounting profit before tax	2,276,005	2,084,517
Tax at the applicable rate of 30%	682,802	625,355
Tax effect of expenses not deductible for tax	169,115	146,885
Tax charge	851,917	772,240
(iii) Tax payable		
Balance at 1 January	(510,394)	(132,829)
Adjustment in respect of current income tax of previous year	4,112	-
Charge to profit or loss	(949,700)	(836,848)
Payments during the year	1,423,566	459,283
Balance at 31 December	(32,416)	(510,394)

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

10. EARNINGS PER SHARE

Basic and diluted earnings per share is calculated by dividing the profit after tax attributable to shareholders by the weighted average number of ordinary and redeemable preference shares in issue during the year, as shown below:

	2014 KShs'000	2013 KShs'000
Profit after tax	1,424,088	1,312,277
Basic earnings per share		
Weighted average number of ordinary and redeemable preference shares used in the calculation of basic earnings per share (in thousands of shares)	629,542	629,542
Basic and diluted earnings per share (KShs)	2.26	2.08

Diluted Earnings per share

The diluted earnings per share is the same as basic earnings per share as there were no potentially dilutive instruments outstanding at the end of the reporting period.

11. DIVIDENDS

a) <i>Unclaimed dividends</i>	2014 KShs'000	2013 KShs'000
The movement in unclaimed dividend is as follows:		
At 1 January	4,955	5,723
Final dividend declared	377,725	125,893
Dividend paid	(375,932)	(126,661)
Balance at 31 December	6,748	4,955
b) <i>Dividends declared/proposed in respect of the year</i>		
Proposed for approval at the annual general meeting (not recognised as a liability as at 31 December):	440,680	377,725
Dividends per share on declared/proposed dividends for the year (based on number of shares per Note 21)	KShs. 0.70	KShs 0.60

In respect of the current year, the Directors propose that a final dividend of KShs 0.70 (2013-KShs 0.60) per share equivalent to a total sum of KShs 440,679,721 (2013: KShs 377,725,475) be paid to the shareholders.

The final dividend is subject to approval by owners of the company at the Annual General Meeting and has not been included as a liability in these financial statements.

Withholding tax

Payment of dividends is subject to withholding tax at a rate of 10% for non-resident owners of the company and 5% for resident shareholders. For resident owners of the company, withholding tax is only deductible where the shareholding is below 12.5%.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

12. PROPERTY, PLANT AND EQUIPMENT

(i) Year ended 31 December 2014

	Land and buildings KShs'000	Property, Plant and machinery KShs'000	Furniture, fittings and equipment KShs'000	Capital work in Progress KShs'000	Total KShs'000
COST					
At 1 January 2014	3,727,371	11,588,528	753,351	225,737	16,294,987
Additions	118,721	688,177	27,966	479,325	1,314,189
Transfers	91,754	53,272	6,600	(151,626)	-
Disposals	(12,138)	(123,936)	(7,173)	-	(143,247)
At 31 December 2014	3,925,708	12,206,041	780,744	553,436	17,465,929
DEPRECIATION					
As at 1 January 2014	1,399,057	5,890,728	646,216	-	7,936,001
Charge for the year	191,629	803,407	50,520	-	1,045,556
Disposals	(10,261)	(118,028)	(7,018)	-	(135,307)
At 31 December 2014	1,580,425	6,576,107	689,718	-	8,846,250
NET CARRYING AMOUNT					
At 31 December 2014	2,345,283	5,629,934	91,026	553,436	8,619,679
(ii) Year ended 31 December 2013					
At 1 January 2013	3,467,898	10,840,187	724,021	204,571	15,236,677
Additions	226,638	750,827	52,376	148,269	1,178,110
Transfers	40,678	86,425	-	(127,103)	-
Disposals	(7,843)	(88,911)	(23,046)	-	(119,800)
At 31 December 2013	3,727,371	11,588,528	753,351	225,737	16,294,987
DEPRECIATION					
As at 1 January 2013	1,235,993	5,215,067	617,579	-	7,068,639
Charge for the year	169,060	747,110	49,474	-	965,644
Disposals	(5,996)	(71,449)	(20,837)	-	(98,282)
At 31 December 2013	1,399,057	5,890,728	646,216	-	7,936,001
NET CARRYING AMOUNT					
At 31 December 2013	2,328,314	5,697,800	107,135	225,737	8,358,986

(iii) Capital work-in-progress

The capital work-in-progress relates mainly to construction work (e.g. rebranding and remodelling of stations) and technical installations being undertaken by the company.

There were no borrowing costs capitalised during the year ended 31 December 2014 (2013: Nil).

Based on an impairment review performed by the directors as at 31 December 2014 no indications of impairment of property, plant and equipment were identified (2013: none).

Commitments to acquire property, plant and equipment as at year end are included in note 26 (c).

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

12. PROPERTY, PLANT AND EQUIPMENT (continued)

(iv) Impact of the Enactment of the Land Registration Act No. 3 2012 on the Company's Land Holding Status

The revised Constitution, enacted on 27 August 2010, introduced significant changes in the landholding by non-citizens. The Constitution no longer allows foreigners and foreign bodies to own freehold land and leasehold land in excess of 99 years. Freehold land and leasehold land of more than 99 years owned by foreigners and foreign bodies automatically become 99 year leases upon enactment of the required legislation under Articles 65 (4) of the revised constitution. These changes in the landholding took effect on 2 May 2012 upon the enactment of the Land Registration Act No. 3 of 2012.

As per the definition in Article 65 (3) of the Constitution, the company is a non-citizen, since it is not wholly owned by Kenyan citizens, and hence the status of its freehold land changes to 99 years lease.

The company has assessed the impact of the amended land laws, and concluded that they do not impact significantly on these financial statements. Under the revised International Accounting standards No. 17 (IAS 17), a 99 year lease qualifies for a finance lease classification if the lessor transfers significantly risks and rewards incidental to the ownership of the land to the company. Accordingly, the 99 year lease would qualify as finance leases. The company currently accounts for its land previously classified as freehold in a similar manner to finance leases.

The company is waiting for the National Land Commission to issue guidelines that will operationalise the provisions of the constitution and the revised land laws. The company will continue to reassess the impact of the revised land laws on the financial statements as the guidelines are issued.

13. PREPAID OPERATING LEASES

	2014 KShs'000	2013 KShs'000
COST		
At 1 January	1,381,944	1,258,684
Additions	111,736	123,260
At 31 December	1,493,680	1,381,944
AMORTISATION		
At 1 January	668,162	577,958
Amortisation for the year	117,342	90,204
At 31 December	785,504	668,162
NET CARRYING AMOUNT	708,176	713,782

The prepaid operating leases relate to amounts that the company has paid for the leased land on which most of its stations and depots stand.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

14. GOODWILL

	2014 KShs'000	2013 KShs'000
Cost		
Balance at beginning and end of year	528,879	528,879
Accumulated impairment losses		
Balance at beginning and end of year	(112,200)	(112,200)
Carrying amount	416,679	416,679
The goodwill is analysed below:		
a) Goodwill arising from acquisition of Elf Oil Kenya Limited		
Cost	448,804	448,804
Accumulated impairment losses	(112,200)	(112,200)
	336,604	336,604

Goodwill amounting to KShs 448,804,000 arose from the acquisition of a subsidiary, Elf Oil Kenya Limited, in March 2001. With effect from 1 January 2005, the operations of Elf Oil Kenya Limited were merged with those of Total Kenya Limited and this was achieved through a business sale agreement which resulted in the transfer of all Elf Oil Kenya Limited business, assets and liabilities to Total Kenya Limited.

Allocation of goodwill to cash-generating units

Goodwill has been allocated for impairment testing purposes to two cash generating units as follows:

- Network service station operations – cash flows and profits from acquired stations
- Rental fees income generation – fees paid by dealers operating acquired stations

Both units continue to generate positive cash flows and goodwill has been globally allocated to both. The recoverable amount of the cash generating units is based on value-in-use calculation which uses cash flow projections based on annual network business financial budgets and a long term business plan approved by management covering a ten year period.

The cash flows from the cash generating units are based on expected return on capital invested at between 10% to 25% and a stable market share. Management is of the opinion that any possible reasonable change in these assumptions would not cause the global carrying amount to exceed the recoverable amount.

At 31 December 2014, no impairment loss was assessed (2013: nil).

(b) Goodwill arising from acquisition of Total Marketing Kenya Limited

	2014 KShs'000	2013 KShs'000
Goodwill - Cost	80,075	80,075

With effect from 1 November 2009, the operations of Total Marketing Kenya Limited were merged with those of Total Kenya Limited. This was achieved through a business sale agreement which resulted in the transfer of all Total Marketing Kenya Limited business, assets and liabilities to Total Kenya Limited. Goodwill amounting to KShs 6,060,047,000 arose from this acquisition of Total Marketing Kenya Limited.

Goodwill amounting to KShs 5,979,972,000 representing the excess fair values over the net carrying amount of assets was transferred to property, plant and equipment following results of a valuation exercise that was carried out in 2010, leaving a balance of KShs 80,075,000.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

14. GOODWILL (continued)

(b) Goodwill arising from acquisition of Total Marketing Kenya Limited (continued)

Allocation of goodwill to cash-generating units

Goodwill has been allocated for impairment testing purposes to the following cash generating unit:

Depot - cash flows and profits from acquired depot

The recoverable amount of the depot as a cash-generating unit is determined based on a value-in-use calculation which uses cash flow projections based on financial budgets approved by the directors covering a ten-year period, and a discount rate of 11% per annum (2013: 11% per annum). Cash flows beyond that ten-year period have been extrapolated using a steady 3% (2013: 3%) per annum growth rate in sales volume.

The directors believe that a 3% per annum growth rate is reasonable in view of the petroleum market projections within the region and, their intention to focus the company's operations in this market.

The directors believe that any reasonably possible change in the key assumptions on which recoverable amount is based would not cause the aggregate carrying amount to exceed the aggregate recoverable amount of the cash-generating unit.

At 31 December 2014, no impairment loss was assessed (2013: nil).

The two subsidiary companies, Elf Oil Kenya Limited and Total Marketing Kenya Limited are dormant and no longer operational having transferred their assets and liabilities to Total Kenya Limited.

15. INTANGIBLE ASSETS

	2014 KShs'000	2013 KShs'000
COST		
At 1 January	423,152	384,545
Additions	20,744	38,607
At 31 December	443,896	423,152
AMORTISATION		
At 1 January	335,150	322,687
Charge for the year	14,740	12,463
At 31 December	349,890	335,150
NET CARRYING AMOUNT		
At 31 December	94,006	88,002

The intangible assets relate to accounting, payroll and other computer software acquired by the company.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

16. DEFERRED TAX ASSET

(i) The net deferred tax asset is attributable to the following:

	2014 KShs'000	2013 KShs'000
Accelerated depreciation	255,662	237,185
Unrealised exchange gain	(533,638)	(526,238)
Unrealised exchange loss	460,384	454,238
Leave provision	16,509	15,063
Provision for retirement benefits	25,510	22,510
Bonus provision	1,601	4,298
Stock provision	92,135	21,816
Legal costs provision	144,960	140,580
Net deferred tax asset	463,123	369,452
(ii) Movement on the deferred tax account is as follows:		
At 1 January	369,452	304,844
Deferred tax credit recognized in profit or loss (Note 9 (ii))		
Current deferred tax credit	93,671	64,608
At 31 December	463,123	369,452

Deferred tax is estimated on all temporary differences under the liability method using the currently enacted tax rate of 30% (2013 - 30%).

17. INVENTORIES

	2014 KShs'000	2013 KShs'000
Refined products	8,836,571	12,890,075
Raw material and crude oil	1,830,036	1,575,340
Consumables and accessories	492,457	487,799
	11,159,064	14,953,214

During 2014, KShs. 236 million (2013: Nil) was recognised as an expense for inventories carried at net realisable value. This is recognised in cost of sales.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

18. TRADE AND OTHER RECEIVABLES

	2014 KShs'000	2013 KShs'000
Trade receivables	8,448,793	7,567,958
Allowance for doubtful debts	(466,873)	(465,510)
	7,981,920	7,102,448
Recoverable taxes	581,323	758,833
Other receivables and prepayments	45,727	267,711
	8,608,970	8,128,992

Recoverable taxes relate to advance import duties on petroleum products and value added tax. Trade receivables are non-interest bearing and are generally on terms of 30 to 90 days.

Other receivables and prepayments relate to amounts advanced to and recoverable from staff and deposits with suppliers of the fuel products. Other receivables are non-interest bearing and are generally on terms of 60- 90 days.

As at 31 December 2014, trade receivables of an initial value of KShs 466,873,000 (2013: KShs 465,510,000) were impaired and fully provided for. See below for the movement in the provision for impairment of receivables.

	2014 KShs'000	2013 KShs'000
At beginning of year	(465,510)	(469,288)
Increase in doubtful debt provision in the year (Note 6)	(88,917)	(81,467)
Doubtful debts write back (Note 5)	87,554	85,245
At end of year	(466,873)	(465,510)

19. RELATED PARTY TRANSACTIONS AND BALANCES

The parent of the company is Total Outre Mer while the ultimate holding company is Total S.A, both incorporated in France.

There are other companies which are related to Total Kenya Limited through common shareholding or common directorships.

Outstanding balances arising from sale and purchase of goods and services to/from related companies at the year-end are as follows:

(i) Amounts due from related companies

	2014 KShs'000	2013 KShs'000
Air Total International	994,817	1,028,256
NETCO Management Limited	118,063	190,350
Total Uganda Limited	703,617	513,402
Total RDC S.A.R.L	124,375	187,683
Total Malawi	-	(417)
Total Tanzania Limited	-	10,449
Other related companies	2,697	13,162
	1,943,569	1,942,885

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

19. RELATED PARTY TRANSACTIONS AND BALANCES (continued)

(ii) Amounts due to related companies

	2014 KShs'000	2013 KShs'000
Total Uganda Limited	2,936	1,021
Total Marketing Services	11,559	25,741
Air Total International	-	1,726
Total Malawi	945	-
Total Tanzania Limited	2,164	-
Total Middle East	-	3,334
	17,604	31,822

(iii) Amounts due to holding company

Total Outre-Mer	194,100	12,612,844
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(iv) Cash deposits with and financial overdraft from related party

Cash deposits with related party (Note 25 (ii))	-	4,096,913
Financial overdraft from related party (Note 24)	(5,919,348)	-
	(5,919,348)	4,096,913

(v) Cash deposits with and financial overdraft from related party

Cash deposits with related party relates to amounts held in accounts with the Total SA Treasury department on terms similar to those offered by unrelated financial institutions. Additional disclosures for the cash deposits with the related party are in Note 25 (ii).

Financial overdraft from related party relates to an overdraft from Total SA Treasury department. Additional disclosures for the financial overdraft are in Note 24.

(vi) Transactions with related companies

During the year, the company made purchases mainly of petroleum products amounting to KShs 82,123 million (2013 – KShs 63,143 million) from the holding company. From other companies related to it by virtue of common shareholding, the company made purchases amounting to KShs 233 million (2013 – KShs 623 million). The company also earned revenue mainly on sale of petroleum products of KShs 8,765 million (2013- KShs 7,951 million) from related companies.

The company purchased plant and equipment amounting to KShs 316 million (2013 - KShs 270 million) from the holding company and other companies related to it by virtue of common shareholding. The company also has general agreement with the holding company for which it paid technical fees for the year amounting to KShs 343 million (2013- KShs 303 million) as disclosed on Note 6.

(vii) Key management compensation

The remuneration of directors and other members of key management were as follows:

	2014 KShs'000	2013 KShs'000
Salaries and other short-term employment benefits	210,092	209,473
Post-employment benefits	6,983	6,528
	217,075	216,001

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

19. RELATED PARTY TRANSACTIONS AND BALANCES (continued)

(viii) Directors' remuneration

	2014 KShs'000	2013 KShs'000
Fees for services as a director	1,600	1,600
Other emoluments		
Salaries and other short-term employment benefits	116,716	113,169
Post-employment benefits	2,644	2,402
	119,360	115,571
	120,960	117,171

Terms and conditions of transactions with related parties

Outstanding balances at the year-end are unsecured and interest free and settlement occurs in cash. There have been no guarantees provided or received for any related party receivables or payables. For the year ended 31 December 2014, the company has not recorded any impairment of receivables relating to amounts owed by related parties (2013: Nil). This assessment is undertaken each financial year through examining the financial position of the related party and the market in which the related party operates.

20. NON-CURRENT ASSETS CLASSIFIED AS HELD FOR SALE

	2014 KShs'000	2013 KShs'000
Property, plant and equipment	27,529	30,062
Prepaid operating leases	2,040	2,606
	29,569	32,668

The company intends to dispose of some stations and other facilities in the next 12 months. These are still being used for the company's operations awaiting conclusion of transfer of titles. Buyers have already been identified and sale and purchase agreements signed between the company and the buyers.

No impairment loss was recognized on reclassification of the assets from property, plant and equipment and prepaid operating leases to assets classified as held for sale as at 31 December 2014 as the expected proceeds on disposal exceed the net carrying amounts of the assets.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

21. SHARE CAPITAL

	2014 KShs'000	2013 KShs'000
Authorised ordinary shares 181,163,000 ordinary shares of KShs 5 each	908,150	908,150
Authorised redeemable preference shares 123,478,388 shares of KShs 31.58 each	3,899,447	3,899,447
Authorised redeemable preference shares 330,999,364 shares of KShs 15.71 each	5,200,000	5,200,000
Issued ordinary share capital Issued redeemable preference share capital	875,324 9,099,447	875,324 9,099,447
	9,974,771	9,974,771
Issued capital comprises:		
175,064,706 fully paid ordinary shares of KShs 5 each	875,324	875,324
123,478,388 fully paid redeemable preference shares KShs 31.58 each	3,899,447	3,899,447
330,999,364 fully paid redeemable preference shares KShs 15.71 each	5,200,000	5,200,000
	9,974,771	9,974,771

	2014		2013	
Fully paid ordinary and preference shares	Number of shares '000'	Share capital KShs'000	Number of shares '000'	Share capital KShs'000
At 1 January				
Ordinary shares	175,065	875,324	175,065	875,324
Redeemable preference shares	454,477	9,099,447	454,477	9,099,447
At 31 December	629,542	9,974,771	629,542	9,974,771

The fully paid ordinary shares, which have a par value of KShs 5, carry one vote per share and carry a right to dividends.

The redeemable non-cumulative preference shares, which have issue prices of KShs 31.58 and KShs 15.71, do not have any voting rights but have the same rights to dividends as the ordinary shares. The right to redemption of the redeemable preference shares is at the discretion of the company hence they have been classified as equity.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

22. SHARE PREMIUM

	2014 KShs'000	2013 KShs'000
As at 1 January and 31 December	1,967,520	1,967,520

This is a non-distributable reserve as per the requirements of the Kenyan Companies Act.
The share premium is the excess of the cash received for ordinary shares above the par value of KShs 5.

23. TRADE AND OTHER PAYABLES

	2014 KShs'000	2013 KShs'000
Trade payables	7,438,151	7,345,915
Other payables and accruals	1,086,940	1,604,545
Total payables	8,525,091	8,950,460
Non-current	1,192,167	1,117,028
Current	7,332,924	7,833,432
	8,525,091	8,950,460

Terms and conditions of the trade and other payables

Trade payables to non-related parties are non-interest bearing and are normally settled on a 30 day terms. Interest is only charged on trade payables due to purchase of petroleum products at rates set by the Open Tender Supply (OTS) agreement.

Other payables are non-interest bearing and have an average term of six months.

Non-current other payables mainly relate to LPG cylinder deposits and legal provisions.

24. SHORT TERM BORROWINGS

	2014 KShs'000	2013 KShs'000
Financial overdraft – from a related party	5,919,348	-
Bank overdraft – from local banks	1,421,070	2,494,630
	7,340,418	2,494,630

Financial overdraft – from a related party

The company received an overdraft from a related party, Total Treasury whose interest is pegged to the 3 month Libor plus a margin. No collateral is held for this facility

Bank overdraft – from local banks

Bank overdraft facilities are held with various financial institutions, primarily stable local subsidiaries of international banks, and are unsecured. The facilities are operated within designated limits and under the terms and conditions stipulated by the financial institutions.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

25. NOTES TO THE STATEMENT OF CASH FLOWS

(i) Reconciliation of profit before tax to cash generated from operations

	Notes	2014 KShs'000	2013 KShs'000
Profit before tax		2,276,005	2,084,517
Adjustments for:			
Effect of exchange rate changes on cash and cash equivalents		190,809	17,121
Finance income	7 (a)	(8,541)	(7,153)
Finance costs	7 (b)	272,336	278,695
Depreciation on property, plant and equipment	12	1,045,556	965,644
Amortisation		132,082	111,578
Gain on disposal of property, plant and equipment		(23,277)	(5,783)
Operating profit before working capital changes		3,884,970	3,444,619
Decrease/ (Increase) in inventories		3,794,150	(1,158,272)
(Increase) in trade and other receivables		(479,978)	(1,267,827)
(decrease)/Increase in trade and other payables		(425,369)	1,783,247
(Decrease)/Increase in amounts due to holding company		(12,418,744)	5,589,359
(Increase) in balances from related Companies		(14,902)	(57,488)
Cash generated from operations		(5,659,873)	8,333,638

(ii) Analysis of cash and cash equivalents

	Notes	2014 KShs'000	2013 KShs'000
Cash and cash equivalents			
Cash and bank balances		498,965	882,592
Cash deposits with related party	19 (iv)	-	4,096,913
		498,965	4,979,505
Financial overdraft – from a related party	24	(5,919,348)	-
Bank overdraft – from local banks	24	(1,421,070)	(2,494,630)
		(6,841,453)	2,484,875

Cash and cash equivalents

For the purposes of the statement of cash flows, cash and cash equivalents includes cash on hand and in banks, short term liquid investments which are readily convertible to known amounts of cash and which were within three months of maturity when acquired, net of outstanding bank overdrafts and short term loans.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

26. COMMITMENTS AND CONTINGENCIES

(a) Contingent liabilities

	2014 KShs'000	2013 KShs'000
Total commitments given	1,431,408	1,939,224
Total commitments received	1,630,750	1,591,323

(b) Contingent liability relating to parent company

An amount of KShs 220 million (USD 2,427,388) exists as at 31 December 2014 (2013: KShs 209 million (USD 2,427,388)) for an unsettled invoice to the parent company, Total Outre-mer, and has not been provided for in the Total Kenya Limited's books as the goods were not received by Total Kenya Limited. Management is keenly following up on the matter and is of the view that the ultimate resolution of this matter will not have any impact on the company's financial position or liquidity.

(c) Capital commitments

	2014 KShs'000	2013 KShs'000
Authorised and contracted for	486,783	471,182
Authorised but not contracted for	2,143,403	1,312,272

27. OPERATING LEASE COMMITMENTS

	2014 KShs'000	2013 KShs'000
Maturing within one year	43,872	41,125
Maturing over one year to five years	206,717	251,904
Total operating lease commitments	250,589	293,029

All the commitments relate to future rent payable for the head office (Regal plaza) based on the existing contracts. The lease agreement is between Total Kenya Limited and Regal Plaza Limited and has no provisions relating to contingent rent payable. The terms of renewal are a written notice to the lessor at least three calendar months before the expiration of the lease and the lessor will grant to the lessee a new lease of the said premises for a further term of six years at such rent as may be mutually agreed by the parties.

The escalation rate is not a fixed percentage and is factored into the operating lease commitment values presented above.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

28. RETIREMENT BENEFIT PLANS

The company operates defined contribution retirement benefit plans for all qualifying employees. The assets of the plans are held separately from those of the company in funds under the control of trustees. Where employees leave the plans prior to full vesting of the contributions, the contributions payable by the company are reduced by the amount of forfeited contributions.

Also, the company contributes to the statutory defined contribution pension scheme, the National Social Security Fund. Contributions to the statutory scheme are determined by local statute. Contributions to this scheme during the year amounted to KShs 2,840,680 (2013 – KShs 902,400).

The total expense recognised in profit or loss for the year of KShs 104 million (2013: KShs 96 million) represents contributions payable to the plans by the company at rates specified in the rules of the plans.

29. CAPITAL MANAGEMENT

The company manages its capital to ensure that it is able to continue as a going concern while maximising the return to stakeholders through the optimisation of the debt and equity balance. The company's overall strategy remains unchanged from 2013.

The capital structure of the company consists of debt, which includes borrowings disclosed in notes 23, and 24 respectively, less bank and cash balances and equity attributable to equity holders, comprising issued capital, share premium as disclosed in notes 21 and 22 and retained earnings.

Gearing ratio

The gearing ratio at the end of the year was as follows:

	Notes	2014 KShs'000	2013 KShs'000
Short term borrowings	24	7,340,418	2,494,630
Bank and cash balances	25 (ii)	(498,965)	(4,979,505)
Net borrowings		6,841,453	(2,484,875)
Equity*		16,425,423	15,379,060
Net debt to equity ratio		41.7%	-

*Equity includes capital and reserves.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

30. FINANCIAL RISK MANAGEMENT

Financial risk management objectives

The company's corporate treasury function provides services to the business, co-ordinates access to domestic financial markets, monitors and manages the financial risks relating to the operations of the company through internal risk reports which analyse exposures by degree and magnitude of risks. These risks include market risk (including currency risk, fair value interest rate risk and price risk), credit risk, liquidity risk and cash flow interest rate risk.

The company's treasury function reports monthly to the Group's treasury, a section of the Group that monitors risks and policies implemented to mitigate risk exposures.

Market risk

The activities of the company expose it primarily to the financial risks of changes in foreign currency exchange rates and interest rates. Foreign exchange risk arises from future commercial transactions, recognised assets and liabilities.

To manage the foreign exchange risk, the company maintains bank accounts in foreign denominated currencies mainly US dollars and Euro to facilitate transactions in foreign currency. The company also negotiates with its bankers to get favorable exchange rates when converting foreign currencies to the Kenya shilling.

Foreign currency risk

The company purchases its products mainly in US Dollars and mainly buys US Dollars via spot deals as opposed to forward deals.

There has been no change to the company's exposure to market risks or the manner in which it manages and measures the risk.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

30. FINANCIAL RISK MANAGEMENT (continued)

Market risk (continued)

Foreign currency risk (continued)

The main currency exposure that the company is exposed to relate to the fluctuation of the Kenya Shillings exchange rates with the US Dollar and Euro currencies.

The carrying amounts of the company's foreign currency denominated monetary assets and liabilities at the end of the reporting period are as follows:

	EUR KShs'000	USD KShs'000	Total KShs'000
31 December 2014			
Assets			
Trade and other receivables	1,367	2,726,958	2,728,325
Bank balances	212,326	97,133	309,459
Total assets	213,693	2,824,091	3,037,784
Liabilities			
Bank overdrafts and short term loans	-	(5,919,348)	(5,919,348)
Trade and other payables	(287,398)	(560,654)	(848,052)
Total liabilities	(287,398)	(6,480,002)	(6,767,400)
Net exposure position	(73,705)	(3,655,911)	(3,729,616)
31 December 2013			
Assets			
Trade and other receivables	68,792	3,315,403	3,384,195
Bank balances	82,908	4,561,124	4,644,032
Total assets	151,700	7,876,527	8,028,227
Liabilities			
Bank overdrafts and short term loans	-	-	-
Trade and other payables	(290,959)	(11,740,743)	(12,031,702)
Total liabilities	(290,959)	(11,740,743)	(12,031,702)
Net exposure position	(139,259)	(3,864,216)	(4,003,475)

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

30. FINANCIAL RISK MANAGEMENT (continued)

Market risk (continued)

Foreign currency risk (continued)

The following sensitivity analysis shows how profit and equity would change if the Kenya Shilling had depreciated against the other currencies by 10% on the reporting period end with all other variables held constant. The reverse would also occur if the Kenya Shilling appreciated with all other variables held constant.

The US Dollar impact is mainly attributable to the exposure on outstanding US Dollar bank balances, and payables at the year-end. The Euro impact is mainly attributable to the exposure on outstanding Euro payables at the year-end.

The sensitivity analysis is unrepresentative of the inherent foreign exchange risk as the year end exposure does not reflect the exposure during the year.

	Profit or loss		Equity	
	2014 KShs'000	2013 KShs'000	2014 KShs'000	2013 KShs'000
USD impact	365,591	386,421	255,914	270,495
Euro impact	7,370	13,926	5,159	9,748

Interest rate risk management

The company is exposed to interest rate risk as it borrows funds at both fixed and floating interest rates. The risk is managed by the company by maintaining an appropriate mix between fixed and floating rate borrowings. Hedging activities are evaluated regularly to align with interest rate views and defined risk appetite.

The carrying amounts of the company's financial instruments with exposures to interest rates risk are as below:

	2014 KShs'000	2013 KShs'000
Short term borrowings (Note 24)	7,340,418	2,494,630

Interest rate sensitivity analysis

The analysis is prepared assuming the amount of liability outstanding at the reporting date was outstanding for the whole year.

If interest rates had been 0.5% higher/lower and all other variables were held constant, the company's profit before tax for the year ended 31 December 2014 would decrease/increase by KShs 36.7 million (2013: by KShs 12.5million) and the company's equity would decrease/increase by KShs 25.7 million (2013: by KShs 8.7 million). This is mainly attributable to the company's exposure to interest rates on its borrowings.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

30. FINANCIAL RISK MANAGEMENT (continued)

Credit risk management

Credit risk refers to the risk of financial loss to the company arising from a default by counterparty on its contractual obligations. The company's policy requires that it deals only with creditworthy counterparties and obtaining sufficient collateral, where appropriate, as a means of mitigating the risk of financial loss from defaults. This information is supplied by independent rating agencies where available. If not available, the company uses other publicly available financial information and its own trading records to rate its major customers. The company's exposure and the credit ratings of its counterparties are continuously monitored and the aggregate value of transactions concluded is spread amongst approved counterparties. Credit exposure is controlled by counterparty limits that are reviewed and approved by the risk management committee.

Trade receivables consist of a large number of customers, spread across diverse industries and geographical areas. Ongoing credit evaluation is performed on the customers' ability to service the credit advanced to them and, where appropriate, credit guarantee is requested.

The company does not have any significant credit risk exposure to any single counterparty or any group of counterparties having similar characteristics. The company defines counterparties as having similar characteristics if they are related entities. The credit risk on liquid funds is limited because the counterparties are banks with high credit-ratings assigned by international credit-rating agencies.

The company's maximum exposure to credit risk as at 31 December 2014 and 31 December 2013 is analysed in the table below:

31 December 2014	Fully Performing KShs'000	Past Due KShs'000	Impaired amount KShs'000	Total KShs'000
Amounts due from related companies	1,943,569	-	-	1,943,569
Trade receivables				
Network	813,545	-	92,647	906,192
Non-Network	5,490,744	1,677,631	374,226	7,542,601
	6,304,289	1,677,631	466,873	8,448,793
Other receivables	45,727	-	-	45,727
Bank balances	498,965	-	-	498,965
31 December 2013				
Amounts due from related companies	1,942,885	-	-	1,942,885
Trade receivables				
Network	384,437	72,821	91,971	549,229
Non-Network	4,399,908	2,245,282	373,539	7,018,729
	4,784,345	2,318,103	465,510	7,567,958
Other receivables	267,711	-	-	267,711
Bank balances	4,979,505	-	-	4,979,505

The default risk on the customers under the fully performing category is very low as they are active in paying their debts as they continue trading. The past due amounts have not been provided for since the amounts continue to be paid. The impaired amounts have been fully provided for in these financial statements.

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

30. FINANCIAL RISK MANAGEMENT (continued)

Credit risk management (continued))

Collateral held on trade receivables

The company holds collateral against credit advanced to customers in the form of cash deposits and bank guarantees. Estimates of fair value are based on the value of collateral assessed at the time of advancing the credit and generally are not updated except when a receivable is individually assessed as impaired.

Collateral is usually not held against bank balances and amounts due from related parties, and no such collateral was held at 31 December 2014 or 2013.

Management assessed that the fair value of the collaterals – cash deposits and bank guarantees approximate their carrying amounts largely due to the short-term maturities of these instruments.

An estimate of the fair value of collateral held against financial assets is shown below:

Fair value of collateral held against trade receivables as at 31 December 2014 was:

	2014 KShs'000	2013 KShs'000
Cash deposit collateral		
Network	261,505	229,421
Non-Network	297,850	213,599
Bank guarantees collateral		
Network	266,435	216,850
Non-Network	1,130,993	1,358,048
Total	1,956,783	2,017,918

There is no collateral held against cash and cash equivalents.

Liquidity risk management

The company manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities. Included in financing facilities section of this note, is a listing of additional undrawn facilities that the company has at its disposal to further reduce liquidity risk.

Financing facilities	2014 KShs'000	2013 KShs'000
Unsecured bank loans and overdraft, payable at call and reviewed annually		
Amount used	7,340,418	2,494,630
Amount unused	13,058,782	23,134,083

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

30. FINANCIAL RISK MANAGEMENT (continued)

Liquidity risk management (continued)

The table below shows the breakdown of amounts used with the main banks at the end of the reporting period.

Bank	2014 KShs'000	2013 KShs'000
Barclays Bank of Kenya Limited	-	362,304
Citibank NA	323,588	2,132,326
Total Treasury	5,919,348	-
Bank of Africa Kenya Limited	1,097,482	-
Total	7,340,418	2,494,630

The following table analyses the company's financial liabilities that will be settled on a net basis into relevant maturity groupings based on the remaining period at the end of the reporting period to the contractual maturity date.

At 31 December 2014

	Up to 1 month KShs'000	1-3 months KShs'000	4-12 Months KShs'000	> 1 year KShs'000	Total KShs'000
Bank overdrafts	7,340,418	-	-	-	7,340,418
Trade payables	7,418,584	-	-	-	7,418,584
Financial guarantees given	-	-	1,431,408	-	1,431,408
Total financial liabilities	14,759,002	-	1,431,408	-	16,190,410

At 31 December 2013

	Up to 1 month KShs'000	1-3 months KShs'000	4-12 Months KShs'000	> 1 year KShs'000	Total KShs'000
Bank overdrafts	2,494,630	-	-	-	2,494,630
Trade payables	7,345,915	-	-	-	7,345,915
Financial guarantees given	-	-	1,939,224	-	1,939,224
Total financial liabilities	9,840,545	-	1,939,224	-	11,779,769

NOTES TO THE FINANCIAL STATEMENTS (Cont')

FOR THE YEAR ENDED 31 DECEMBER 2014

31. INCORPORATION

Total Kenya Limited is a limited liability company incorporated and domiciled in Kenya under the Kenyan Companies Act. The parent company is Total Outre Mer while the ultimate holding company is Total S.A, both incorporated in France.

32. CURRENCY

The financial statements are presented in thousands of Kenya Shillings.

33. EVENTS AFTER THE REPORTING PERIOD

There are no subsequent events that have occurred after the reporting period which are either to be disclosed or to be adjusted in the financial statements that could materially affect the financial statements.

APPENDIX I

FIVE-YEAR SUMMARIZED STATEMENT OF FINANCIAL POSITION

AS AT	2014 KShs'000'	2013 KShs'000'	2012 KShs'000'	2011 KShs'000'	2010 KShs'000'
ASSETS					
Non-current assets					
Property, plant ,equipment and leases	9,327,855	9,072,768	8,848,764	9,174,239	9,644,693
Goodwill	416,679	416,679	416,679	416,679	416,679
Intangible assets	94,006	88,002	61,858	121,342	67,729
Deferred tax asset	463,123	369,452	304,844	146,955	131,999
Total non-current assets	10,301,663	9,946,901	9,632,145	9,859,215	10,261,100
Current assets					
Inventories	11,159,064	14,953,214	13,794,942	12,039,014	9,516,941
Other current assets	10,552,539	10,071,877	9,012,764	11,578,405	9,580,650
Cash and cash equivalents	498,965	4,979,505	499,174	1,670,112	874,673
Total current assets	22,210,568	30,004,596	23,306,880	25,287,531	19,972,264
Assets classified as held for sale	29,569	32,668	41,579	51,420	142,313
	22,240,137	30,037,264	23,348,459	25,338,951	20,114,577
TOTAL ASSETS	32,541,800	39,984,165	32,980,604	35,198,166	30,375,677
EQUITY AND LIABILITIES					
Equity					
Share capital	9,974,771	9,974,771	9,974,771	4,774,771	4,774,771
Share premium	1,967,520	1,967,520	1,967,520	1,967,520	1,967,520
Retained earnings	4,483,132	3,436,769	2,250,385	2,452,527	2,837,562
Total equity	16,425,423	15,379,060	14,192,676	9,194,818	9,579,853
Non-current liabilities					
Medium term loan	-	-	-	2,574,000	3,276,000
Trade and other payables	1,192,167	1,117,028	854,765	446,584	428,925
Total Non-current liabilities	1,192,167	1,117,028	854,765	3,020,584	3,704,925
Current liabilities					
Trade and other payables	7,583,792	20,993,447	13,772,509	11,281,598	11,193,524
Short term borrowings	7,340,418	2,494,630	4,160,654	11,701,166	5,897,375
Total current liabilities	14,924,210	23,488,077	17,933,163	22,982,764	17,090,899
TOTAL EQUITY AND LIABILITIES	32,541,800	39,984,165	32,980,604	35,198,166	30,375,677

APPENDIX II

FIVE-YEAR SUMMARIZED STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED	2014 KShs'000'	2013 KShs'000'	2012 KShs'000'	2011 KShs'000'	2010 KShs'000'
Gross sales	170,725,560	154,626,092	119,788,989	105,590,360	79,206,640
Indirect taxes and duties	(15,623,868)	(12,908,050)	(12,338,455)	(13,055,311)	(14,844,778)
Net sales	155,101,692	141,718,042	107,450,534	92,535,049	64,361,862
Cost of sales	(148,351,545)	(135,371,011)	(101,577,075)	(87,860,697)	(59,044,505)
Gross profit	6,750,147	6,347,031	5,873,459	4,674,352	5,317,357
Expenses and other income	(4,333,497)	(3,990,972)	(4,431,554)	(3,024,726)	(2,975,286)
Net finance costs	(140,645)	(271,542)	(1,506,206)	(1,591,776)	(953,646)
Profit/(loss) before tax	2,276,005	2,084,517	(64,301)	57,850	1,388,425
Taxation	(851,917)	(772,240)	(137,841)	(129,286)	(472,220)
Profit/(loss) for the year	1,424,088	1,312,277	(202,142)	(71,436)	916,205

PROXY FORM



The Secretary
Total Kenya Limited
P.O. Box 30736 - 00100
Nairobi.

I/WE

OF

Being a member(s) of the above Company, hereby appoint:.....

OF

Whom failing

OF

or failing him, the Chairman of the Meeting, my/our proxy, to vote for me/us and on my/our behalf at the Annual General Meeting of the Company to be held on Friday, 12th June 2015 and at any adjournment thereof.

As witness our/my hand this day of 2015

Signed Signed

Note:

- 1) A member entitled to attend and vote is entitled to appoint a proxy to attend and vote in his stead and a proxy need not be a member of the Company.
- 2) In the case of a member being a Limited Company this form must be completed under its common seal or under the hand of an officer or attorney duly authorised in writing.
- 3) Proxies must be in the hands of the Secretary not later than 48 hours before the time of holding the meeting.



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Energy drives progress where it is readily available. Two of the biggest challenges in building a responsible energy future are ensuring access for all and using energy wisely.

This is the environment in which we conduct our business. With operations in more than 130 countries, we are a leading international oil and gas company. We produce, refine and market oil, manufacture petrochemicals. We are also a world-class natural gas operator and rank second in solar energy with Sun Power. Demonstrating their commitment to better energy, our 100,000 employees help supply our customers worldwide with safer, cleaner, more efficient and more innovative products that are accessible to as many people as possible. We work alongside our stakeholders to ensure that our operations consistently deliver economic, social and environmental benefits.



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